

It's a minimal structure test that produces a lower minimum. It is due either to the aggressiveness of the sellers or a lack of interest of the buyers, which suggests that it is likely new tests to that area in the future.

This type of test denotes a lot of fundamental weakness. Well-informed traders know that the price is overvalued and they have an urgency to sell. Hence the extreme weakness.

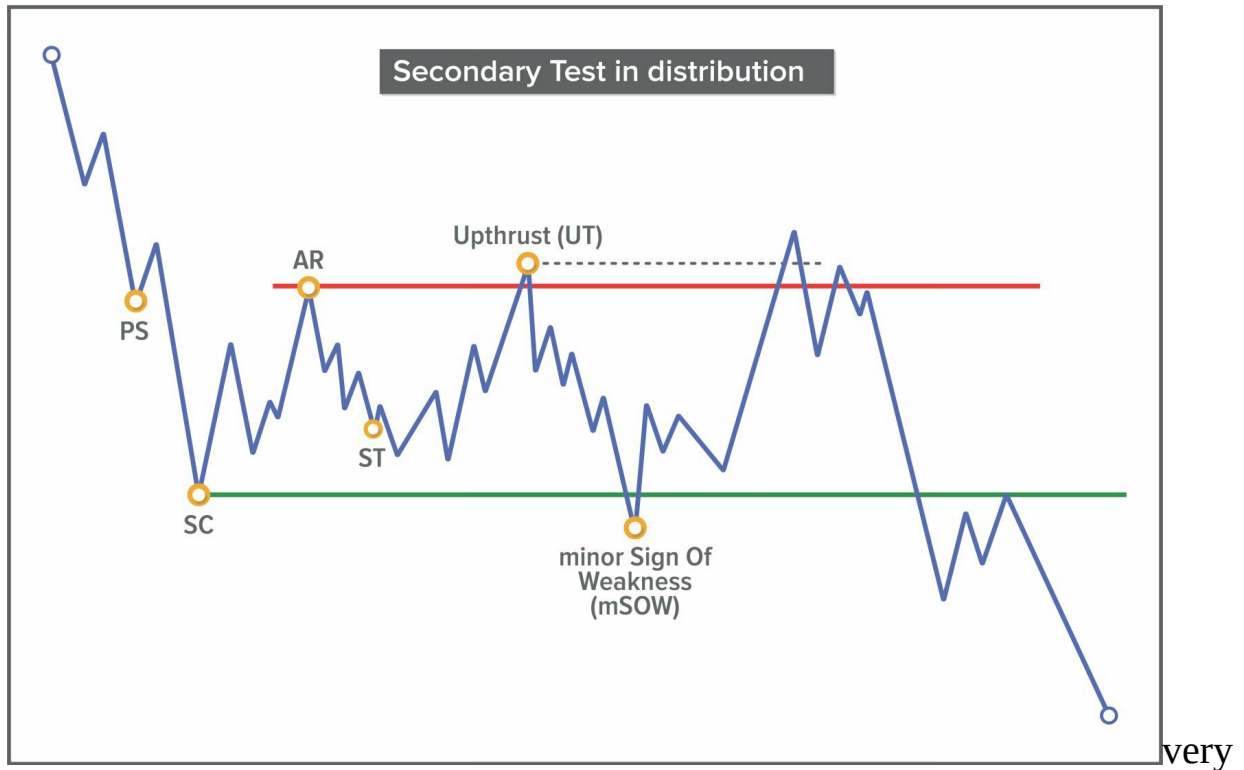
From this new minimum we can draw another level of support on which to wait for the effective base break or the final jerk before the upward trend movement.

If we are dealing with an accumulation structure, we will label this event as **Secondary Test as Sign of Weakness (ST as SOW)**. There is generally a better chance that this event will occur when the Secondary Test of Phase A has produced a lower minimum. There is an extreme weakness in the market and this area will need to be tested in the future.

When the range is distribution or redistribution we label this event as **minor Sign Of Weakness (mSOW)**. One indication that we may be facing a mSOW is whether the Secondary Test of Phase A is a poor bullish movement,

with

Secondary Test in distribution



little path (lack of buyer interest).

As we say, we can only know which labeling is correct once the range has been confirmed in one direction or the other. Therefore, in order not to complicate it more than necessary, a simple solution could be to label such events as **Secondary Test in Phase B (ST in B)**, a label that you will also find in some analysis of the methodology.

The generic test

A test, by definition, is an attempt, evaluation or examination of something. In the case of Volume Spread Analysis (VSA), it is a test to confirm who has control of the market.

If professional traders have higher interests, they will want to make sure that the bid has been eliminated or absorbed before starting the upward movement. Conversely, if they foresee lower prices, they will do their best to confirm that there are no buyers willing to complicate their downward movement.

As the market enters an area where previously there was a high volume two things can happen:

- That the volume is now low, which clearly indicates lack of interest and suggests that the market is now prepared for a trend movement in favour of less resistance. Valid test.
- That the volume is still high (relatively), which would indicate that there are still operators willing to keep pushing the price. Test not valid. The optimum here would be to wait either for repeated tests to appear until it can be confirmed that there is no stock left available; or that the market continues in favour of its last movement.

Due to the above, tests can be a great time to enter the market, because if the test is valid, we will be "betting" in favor of the force that presses more and that in theory has greater control of the market.

Where to look for tests

Due to its generic nature, it is an action that can be useful to make trading and investment decisions in different market contexts, being the most recommendable:

Test after shock

Known as the Spring test or the Upthrust test, it takes place during Phase C of

the test, prior to the rupture of the structure.

This is the moment in the market when we can have the best risk/benefit ratio; since if the test is genuine, we will be very close to the end of the structure (where the Stop Loss order should be placed) and the route to the Creek could be quite wide (to take as first Take Profit or management).

Test after breakout

It takes place during Phase D, where the price has started the trend movement within the range and this is a critical moment as what is being evaluated is whether the Creek break will be valid or whether it will be a shake.

The risk/benefit ratio is not as generous as the one we may have in the test after shock, but even so we may have a great opportunity because if we are right in the analysis, the price will develop the effect of all the cause that has been built during the development of the range.

An example of Stop Loss location in this case could be to place it in the middle part of the structure, assuming that if the price reaches that level, more than an effective break we could be before a shake.

At the Take Profit level, you can use technical tools such as Fibonacci projections, a simple 1:1 projection of the total distance of the structure; or better yet, place it in some area where there is expected to be liquidity waiting.

Trend test

It should be noted that the price is in Phase E of the structure where the market begins to move tendentially out of range.

If the trend is very fast, it will sometimes take time to stop at least temporarily to develop a new scheme in favor of that trend. For such cases of speed, we can seek to develop this action, which will give us an opportunity to join the movement.

If the technical objectives of the structure have already been covered, I would particularly quarantine the entry. In the case of Stop Loss, I would expect the development of a Shake + test out of range to place the order at its end. For

the Take Profit, the best thing to do is to keep looking for areas of liquidity as we know that it is very likely that the price will go in your search.

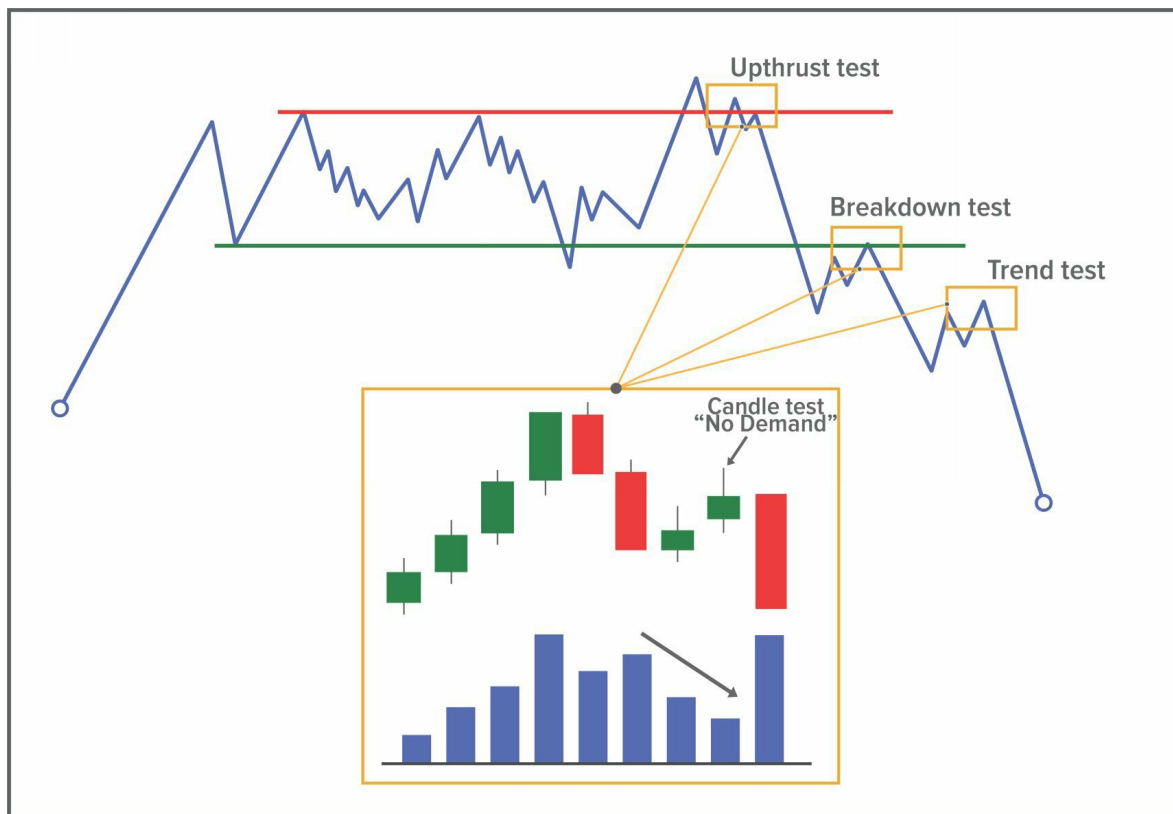
How the Test appears on the graph

In Volume Spread Analysis these types of candles are known as No Demand and No Supply.

The test is considered valid when the candle has a volume lower than that of the two previous sails, denoting as we say that lack of interest in that direction.

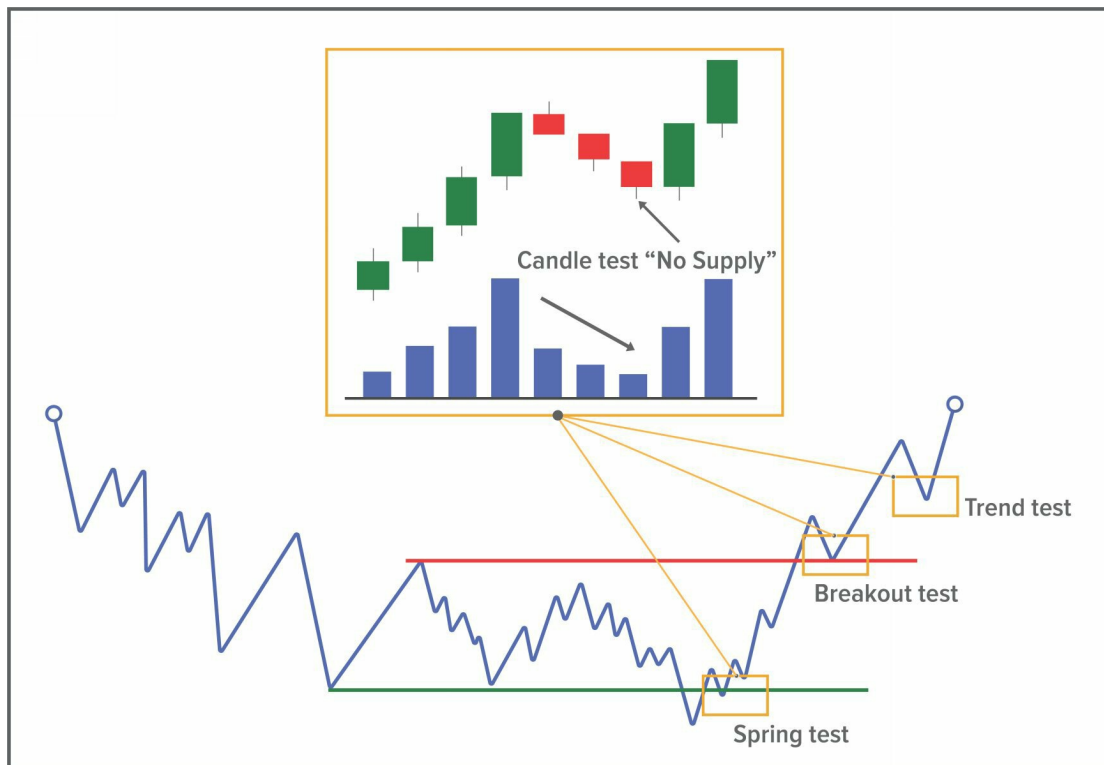
When we are faced with an environment of possible background strength (such as a Spring, a Creek bullish break or an uptrend) we will look for the test, in addition to showing a smaller volume than that of the previous two candles, to be produced on a bearish (No Supply) candle. The smaller the range of the candle, the better.

Tests on Shorts Positions



On the contrary, when our analysis tells us that we are possibly facing a weak market environment (such as an Upthrust, a bearish break in the Creek or in the middle of a bearish trend), we will look for the test to take place on a narrow range bull candle (No Demand).

Test on Long Positions



The difference between the Secondary Test and the Generic Test

Conceptually it is the same action: movement that develops to evaluate the commitment of operators in one direction and that must necessarily appear with a decrease in the price ranges and volume to take it as valid.

The only difference is that the Secondary Test is a specific event of the Wyckoff methodology, with the connotations at a structural level already commented; and the generic test is a global event, well known in the VSA methodology (Volume Spread Analysis) that focuses primarily on the action

itself and what its result suggests to us.

Chapter 18 - Event #5: Shaking

Shaking is the key event all Wyckoff operators are waiting for. There is no other event that adds greater strength to the analysis and this makes it, from my point of view, the most important event that can occur in the financial markets.

After a period in which large traders will have built up a large part of the position they want, they use this behaviour as a turning point when it comes to creating the trend movement that will take the price out of range.

In order for us to be waiting to see a potential shake, two actions must have occurred previously:

- The stop of the previous trend movement, whether with climatic volume or not.
- The construction of a significant cause. This is the development of Phase B, in which we deduce that the professional has been absorbing stock.

Addition game 0

As we know, due to the functioning of the financial markets based on the law of supply and demand, in order for an order to be executed, it must be paired with another order whose intention is the opposite. This means that for a sale (bid) transaction to be executed, it must be matched with a purchase (ask) transaction and vice versa.

This is very important to know since in the event we are dealing with, as in the other two cheating events (Preliminary Stop and Climax) all orders whose origin comes from ill-informed operators or weak hands are being absorbed by well-informed operators or strong hands.

The critical factor when analyzing this event is to determine the aggressiveness with which the key zone is being broken and how the market reacts immediately afterwards to this action.

Behavior

The action is simple: it is a movement of rupture of a previous liquidity area

(areas where there will be located a large number of pending orders of execution) that initially denotes intentionality towards the direction of the rupture but that in reality is a new deception.

What will happen is a false break where the big traders will assume all those pending orders in order to start the trend movement they expect.

This is the way financial markets move: by the search for liquidity. If large traders were not able to find the counterparty they need to match their orders, the market would be impossible to move. Therefore, they need to create the feeling that this is a genuine break movement in order to attract more traders and absorb all those orders.

If we take any graph, independently of the market or temporality, we will see that for any significant trend movement, a Shake has previously developed. It's necessary. That crossing of orders is the gasoline they need to get around.

Understanding this will elevate your trading some levels because you will begin to be more aware of this possibility and over time you will learn to profit from its behavior.

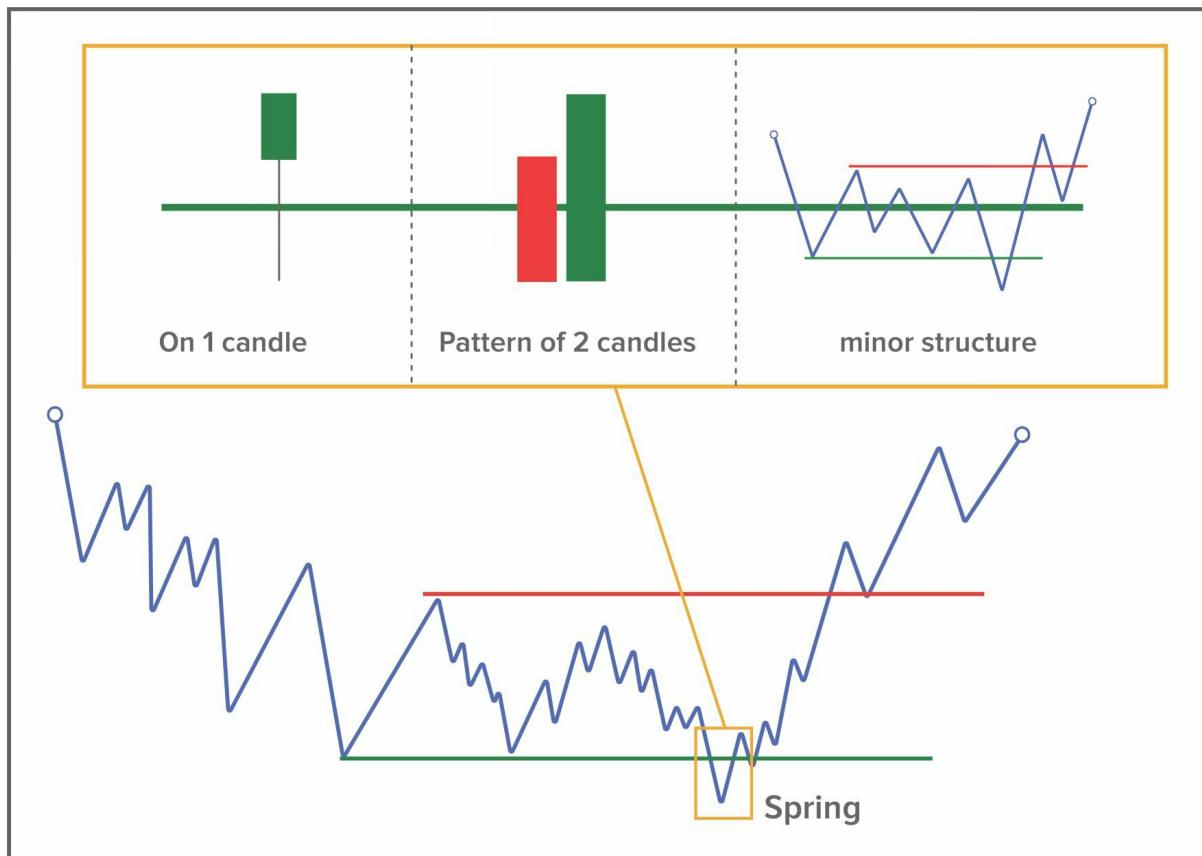
How the Spring appears on the graph

Normally, shaking will come in different forms:

On 1 candle

This is the commonly known hammer sail. It is a candle that penetrates the zone of liquidity and that returns practically the totality of the movement inside that same candle, leaving a significant tail in its end.

How the shake appears on the graph



These figures what denotes is a rejection of prices to keep moving in that direction. Aggressiveness has been found on the part of the operators that were waiting in the opposite direction to the breakout and these have managed to capture at least temporarily with the control of the market.

Pattern of 2 or more candles

The background of the action is exactly the same as for the example of a candle. The only difference is that on this possibility the behavior develops over a greater temporal space.

The fact that the price takes longer before reversing and recovering the previously established breakout zone is a symptom of less strength for the shock. In other words, the less time the turn occurs, the greater the strength will denote the shock.

Minor structure

In this possibility the price is kept for a longer period of time in position of potential shake.

The control of the market is not very defined and that is why a smaller structure is required which will eventually act as a function of the Shake of the larger structure. This is a clear example of the importance of context.

- In potential Spring position we are looking for a smaller accumulation structure that will generate the bullish turn.
- In potential position Uptrust After Distribution we are looking for a smaller distribution structure that will generate the bearish turn.

Shaking functions

This movement initiated by the big operators has several functions:

Expel rupture operators from the market

Previously we presented them as greedy. They are those operators who see the price make a new extreme and thinking that it is a break that will have continuity, enter the market by adding more pressure to prices.

It is important to note that it is not only manual operators who, guided by their emotions, will enter the market. An innumerable number of automatic strategies programmed to operate breakout systems will generate input signals at these levels.

These robots may activate other momentum strategies, which will add even more pressure to the movement, which is why these types of shocks are often identified with a considerable increase in volume. It is an important trading area for many strategies and will therefore lead to the crossing of a large number of orders.

Expelling the fearful from the market

This group has been holding losing positions for a long period of time and its limit is very close. After seeing the price move again against them and for fear of further increasing the loss, they finally decide to abandon their position.

Kick the smart ones out of the market

Generally they tend to have a good market reading and have correctly

anticipated the price turn, but have rushed into entry. They may have already sold on the climatic event or on some minor Spring within the range.

This new unexpected final shock for them makes them abandon their position by executing their protection stops.

Succeeding with the maneuver

The professionals who unbalance the market and cause the breakout movement, take advantage of the displacement caused by the rupture operations and close their positions obtaining a profit with the difference.

Indications to know if we are facing a potential shakeout

The two elements to observe in order to try to determine a greater probability that we are facing a shock instead of an effective break are the following:

The type of ST that happens in Phase B

If we have previously identified a Secondary Test in the form of Upthrust Action (UA), this denotes greater strength to the buyers and therefore in zone of minimum breakout of the structure we favor the Spring instead of the bass breakout.

If what has left the price is a Secondary Test in the form of Sign of Weakness (mSOW), denotes strength of the sellers and in zone of maximum rupture of the structure we favor that happens the Upthrust instead of the effective bullish rupture.

Price behaviour after breakout

If after the breakout of the lower part of the structure the price fails to stay below and re-enters the range again, it denotes strong purchase entry and adds greater probability that the breakout is false and that a Spring is therefore developing.

If after the break in resistance the price fails to stay above the level, it denotes weakness and adds a greater probability that the break is false and therefore an upthrust will develop.

Avoid labeling errors

It is important to clarify that the Shake can only be labeled as Spring or Upthrust After Distribution when it originates the rupture movement of the structure.

Spring must necessarily cause the range to break up. Anything other than this should not be labeled as Spring. It will simply be a test.

The same goes for the Upthrust After Distribution. Anything other than this bullish jerk causing the subsequent bearish break of the structure should not be labeled UTAD. A UTAD is the shaking event of the maximums of the structure but it must also cause the bass break and the beginning of the tendential movement out of range.

I repeat, to be faithful to the methodology, anything other than that would be badly labeled.

Spring/Shakeout

The term Spring is an abbreviation of the word "Springboard".

This concept was presented by Robert G. Evans, an outstanding student of Richard D. Wyckoff and is a refinement of the original concept developed by Wyckoff, which is known as Terminal Shakeout. Wyckoff referred to this term as a position that reaches the market during the development of an accumulation range in which the price is in a position to leave it to initiate an upward movement.

We recall that an accumulation range is a Phase of the market cycle (which is composed of the accumulation, uptrend, distribution and downtrend Phases) in which large market operators perceive value in the price (they find it undervalued) and carry out a buying process with the intention of selling at higher prices and making a profit from the difference.

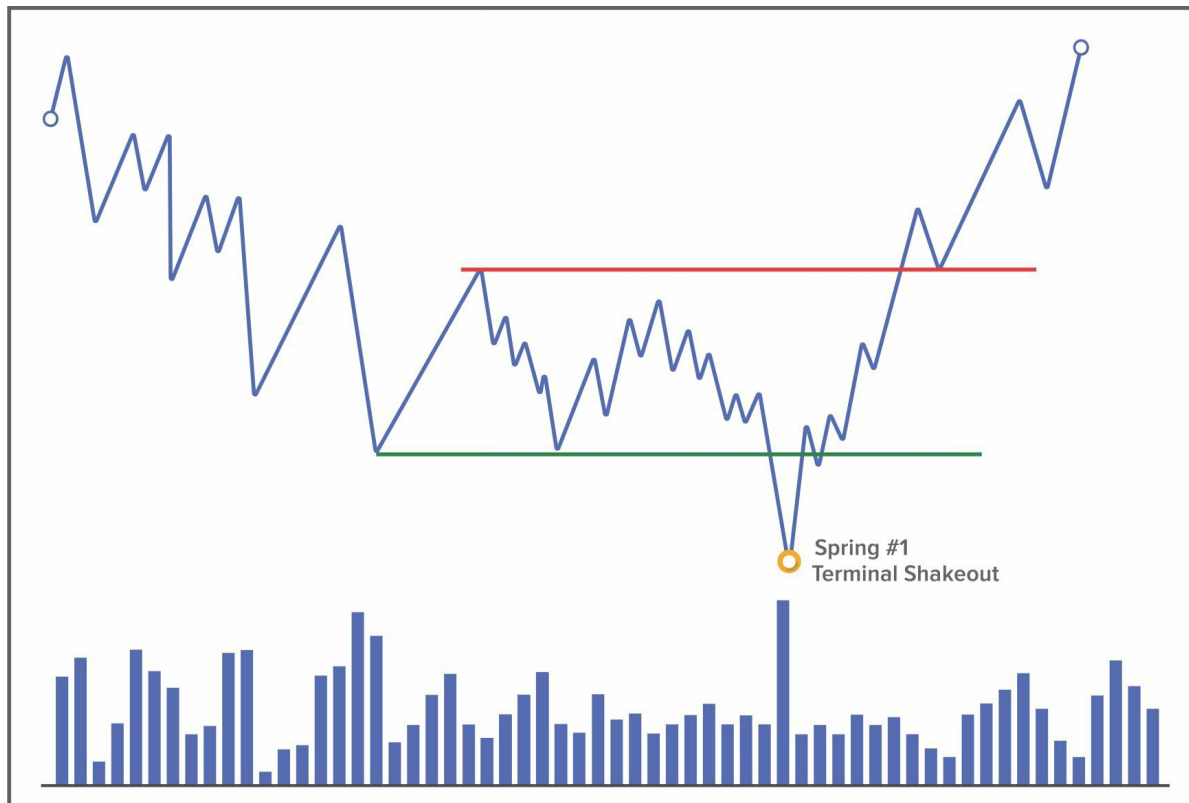
The Spring event describes a bearish movement that breaks a previous support area and whose purpose is to carry out a transfer of shares from the weak hands (traders potentially manipulable due to their ignorance of the functioning of the market and because they operate based on their emotions) to the strong hands (large traders).

Types of Spring

At the moment of the breakout of the support, we must remain very attentive and carefully observe the behavior of the price and volume. If we are already within a buy position, depending on how the price drops we will decide whether to stay within the trade or exit immediately. If you see a strong rebound from the level with a slight increase in volume, it indicates that the value is developing technical strength.

Three types are differentiated on the basis of the degree of supply observed at the time of breakout:

Spring #1 or Terminal Shakeout



Spring #1 or Terminal Shakeout

The offer appears strongly (great seller interest). This is evidenced by a sudden increase in volume and an expansion of price ranges that produce a large penetration of the support line.

In essence, Spring and Terminal Shakeout are all about the same action: a bearish move that breaks through a previous support area. But there are differences between them, and these can be found in the intensity (volume) and scope of their development; while Spring is used to define shorter movements with a light or moderate volume; Terminal Shakeout is used to define movements with a much deeper penetration and with a high volume.

The offer is in control of the situation. There is extreme weakness and the price falls. For this type of Spring to be successful, there must be a strong inflow of demand that drives the price back up with wide price ranges and a relatively high volume.

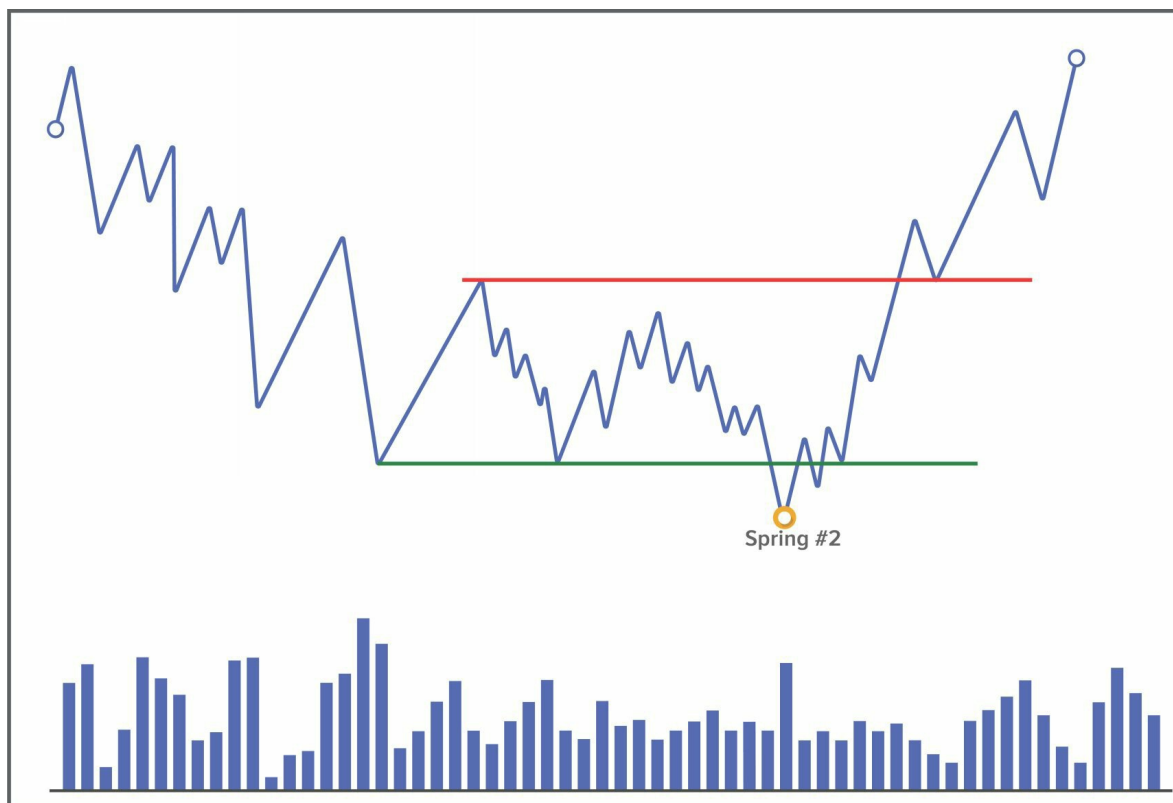
A first indication that demand may be entering is if after penetration, the volume remains high but price ranges begin to decrease.

If demand does not appear, the price will continue to fall and you will have to build a new accumulation area before a substantial upward movement can take place.

Spring #2

Moderate penetration is observed as the price breaks down with an increase in both volume and price ranges.

There is a floating offer (operators willing to sell), but it is not as overwhelming as in Spring #1. That latent offer will have to be absorbed by the professionals in case they want to make rise to the price, reason why the most probable thing is that we will see successive tests to this zone.



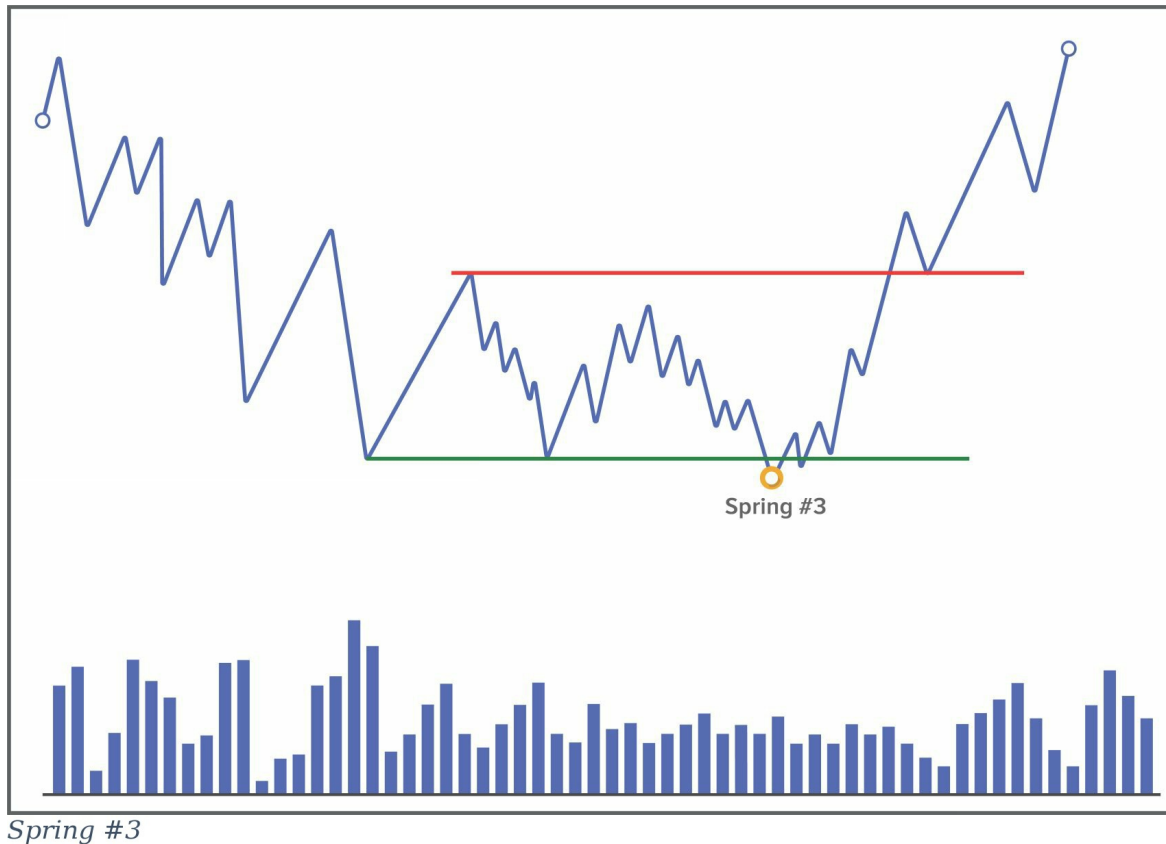
Spring #2

Spring #3

There is an exhaustion of the offer (lack of aggressive saleswoman). This is evidenced by a slight reach in the break, with a decrease in volume and a narrowing of price ranges; suggesting a total lack of interest on the downside.

This is a very powerful Spring on which you can directly take purchase

positions.



We can also find a last variant in which the event takes place within the limits of the range. This event denotes greater background strength, although professionals prefer the Shake to occur beyond the range because it does a better job of cleaning up the remaining supply of weak hands.

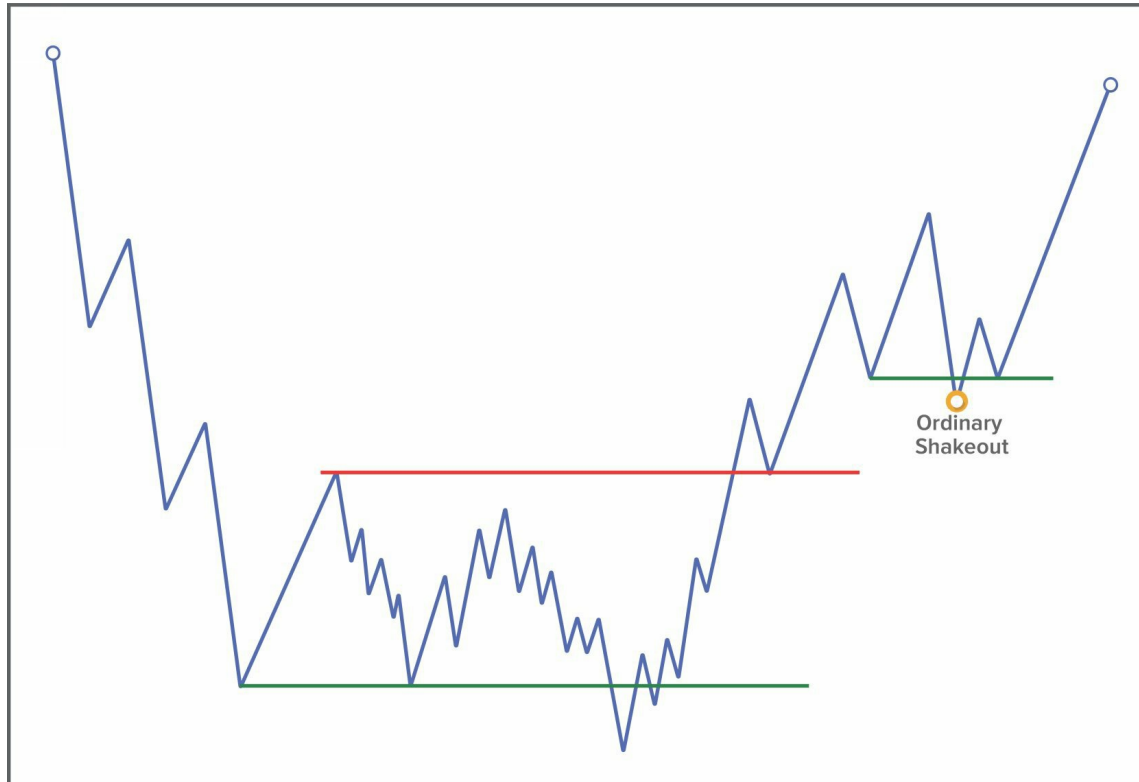
Spring action is an important sign of strength since failure to break provides us with a greater degree of confidence when it comes to taking action at a later date.

The Ordinary Shakeout

Spring and Terminal Shakeout are two similar events which occur during the development of an accumulation range. But there is another variant; the Ordinary Shakeout, which is defined as a strong bearish push without

extensive prior preparation that occurs during the development of an uptrend (reaccumulation). This is the main difference: the location.

Ordinary Shakeout



The Ordinary Shakeout is characterized by wide price ranges and an increase in volume. However, the volume can be high, medium or low.

The Spring test

With the exception of Spring #3, in the other variants it is necessary for the event to be tested since the present offer has been observed and the positive result is not guaranteed.

Be very cautious if the testing process has not taken place as it may take place at a future time. For the test to be successful, it should be developed with a narrowing of the ranges, a decrease in volume and should be kept above the level of the Spring/Shakeout. All this would indicate an exhaustion of the offer and suggests that the price is ready to initiate the bullish movement with relative ease, representing a good buy signal.

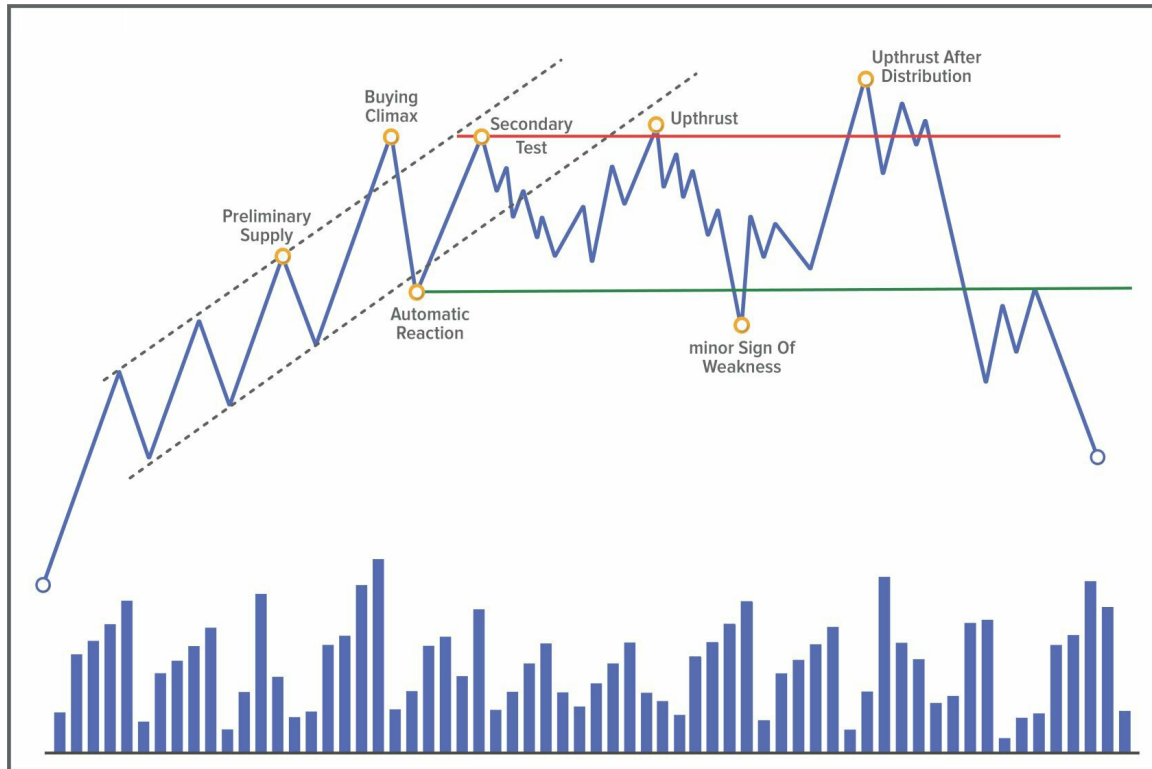
If the test does not meet these characteristics, it is considered to be a poor quality test and suggests further testing at a later date as a Spring with significant volume needs to be successfully tested before upward movement can begin.

We must train ourselves to anticipate the possible outcome of the event and be prepared to take action on our behalf quickly and decisively.

UpThrust After Distribution (UTAD)

An Upthrust After Distribution is the bullish shock that occurs as a Phase C test event within the distribution and redistribution ranges.

Upthrust After Distribution



This is an upward movement whose aim is to go test the ability of buyers to take prices higher to reach a key area, such as the break of previous highs.

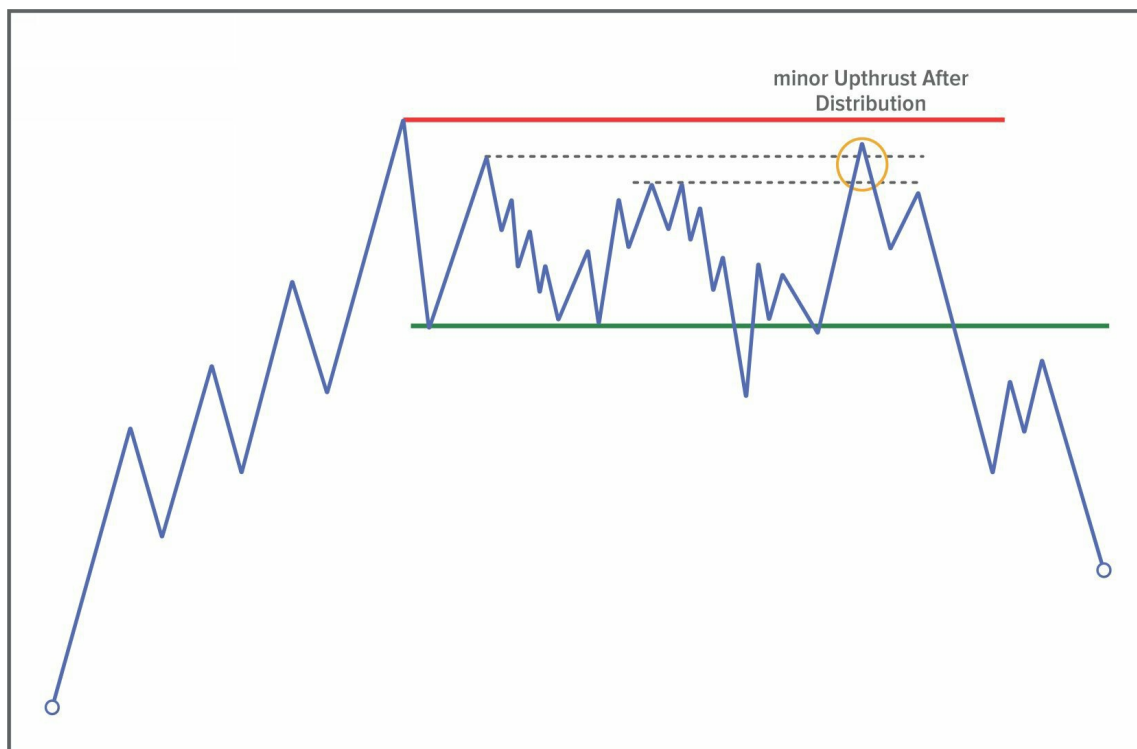
Theoretically it is an Upthrust (UT), but when it happens in Phase C, it is called UTAD regardless of whether there were previous Upthrusts in Phase B because a previous distribution process has already taken place.

In this action the volume that will be observed will be moderate or strong, evidencing the quantity of orders that will be crossing in this key zone.

The minor Upthrust After Distribution

As with the minor Spring, it is a bullish jerk that occurs within the structure.

Minor Upthrust After Distribution



This

Shake will reach some previous highs and although the ideal is to wait for the trap to occur at the total limits of the structure, in reality this type of minor Shake denotes greater control on the part of the sellers as they have not allowed the price to rise further and have appeared aggressively selling on those previous highs.

Although it is true that the UTAD is only the shaking event of the maximums of the structure, it is more interesting to think in functional terms and although this movement has not reached these total maximums, it is still a shaking at local maximums. This is why I consider it interesting to label this event as a minor UTAD as well, although the methodology may simply treat it as a Last Point of Supply (LPSY).

The Upthrust After Distribution Test

Although it can happen, a Secondary Test does not always appear after the UTAD. This is due to the large amount of supply entering the market, which causes the immediate bearish movement in the form of Sign of Weakness.

As with the Spring, it is generally better for the test to take place. The fact that the test does not appear may mean the loss of an opportunity, but waiting

for it to happen will help you avoid taking a possible bad short position on an action that is actually a genuine bullish break (JAC/MSOS).

If there is a test, it should show less enthusiasm than the one seen about UTAD. This is generally reflected by a halt in movement below the UTAD level and a reduction in price and volume ranges, which indicates an exhaustion of buyers and confirms the distribution scenario. On the ceiling of this rise one can take sales positions.

If the test does not fall below the level that establishes the maximum UTAD or the volume is higher, you should doubt the shock even if the price is making lower maximums. The most sensible thing is to wait for some additional signal before selling (new shocks and successive successful tests).

Terminal Upthrust

It resembles Terminal Shakeout. It has the same features as a normal Upthrust but the scope of action is usually more severe. The volume may be extremely high or the penetration unusually large. Even so, the result is the same. In a short period of time the price re-enters the range, indicating strong downward pressure.

Ordinary Upthrust

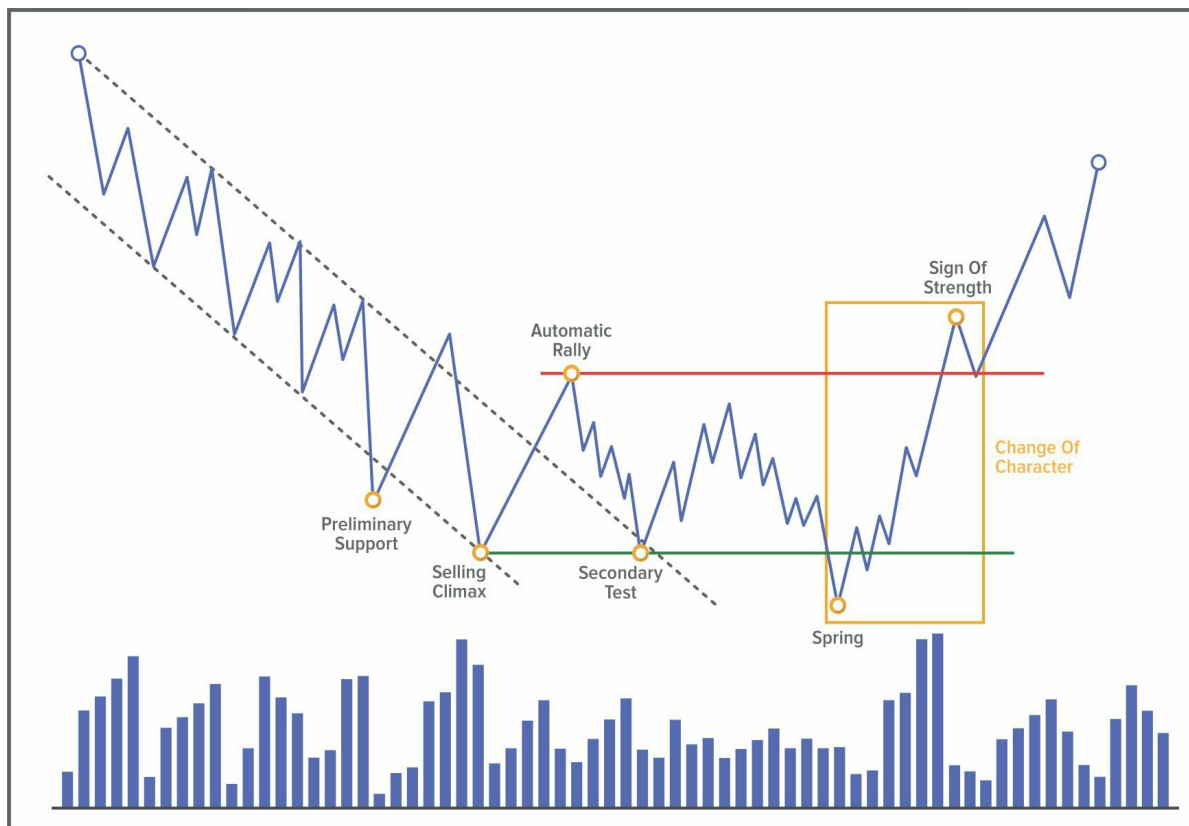
Like the Ordinary Shakeout, it is a shakeout with little preparation during the development of the downward trend movement.

It is a very interesting opportunity to go into short since we would be operating in favor of the last distribution.

Chapter 19 - Event #6: Breakout

After the Phase C test event (shock or LPS), the price will develop a trend movement in the direction of the least resistance.

The great professionals have already absorbed all the stock they need for their positions and have verified (through the Shake and the test) that they will not find much resistance in the subsequent advance of the price in their favour.



Bullish breakout and Change of Character

The market is in imbalance and this provokes a strong movement that breaks the structure initiating the development of the cause that has been constructed previously.

This breakout movement itself is not an opportunity to trade; it only alerts us to a possible opportunity in the very near future. This opportunity is found in the immediate action, in the confirmation test.

Change of Character

This is the second Change of Character (ChoCh) in the structure. We recall

that the first occurs with Reaction Event #2, in which the market moves from a trend state to a range context.

In this occasion, this new ChoCh changes the context of the market putting an end to the lateralization of the price and giving beginning to a new trending Phase.

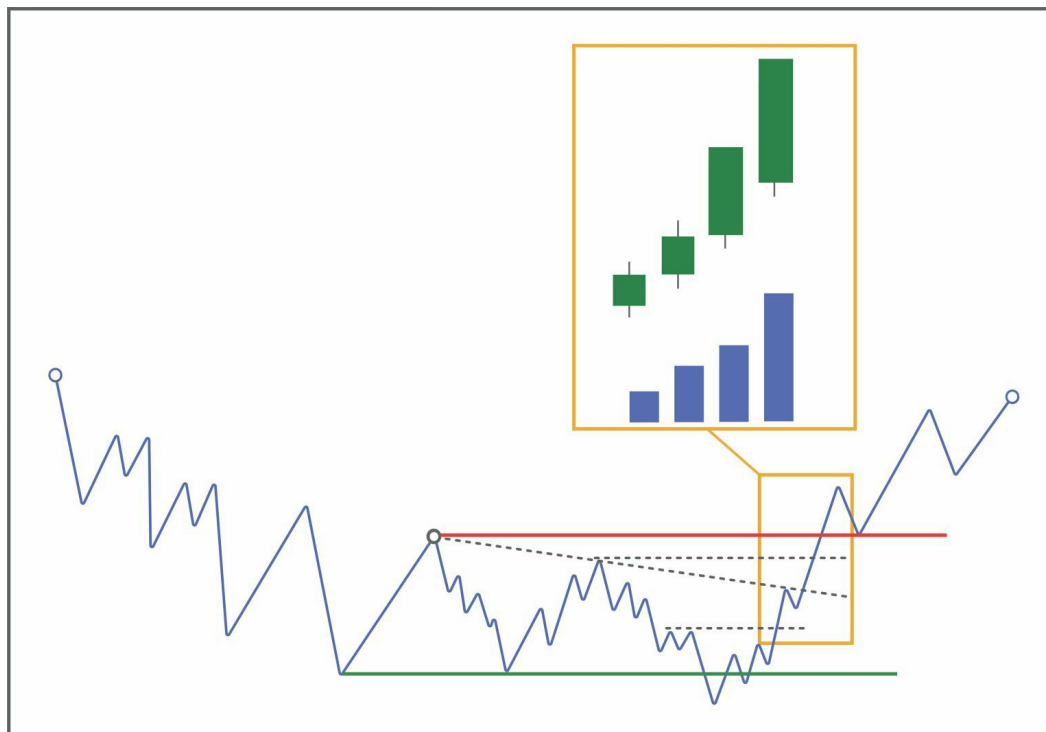
ChoCh is not only a strong movement; it is composed of two events: a strong movement and a slight retreat. This set forms the ChoCh. The change of character is identified from the origin of Phase C until the end of Phase D.

How it appears on the graph

We find ourselves in an environment of speed and this causes that movement to develop by means of candles in which a relative increase is observed in the ranges of the price as well as an increase in the volume.

This movement will fluidly break previous levels of liquidity denoting strong momentum. It is the representation of the market imbalance and the aggressiveness shown by traders.

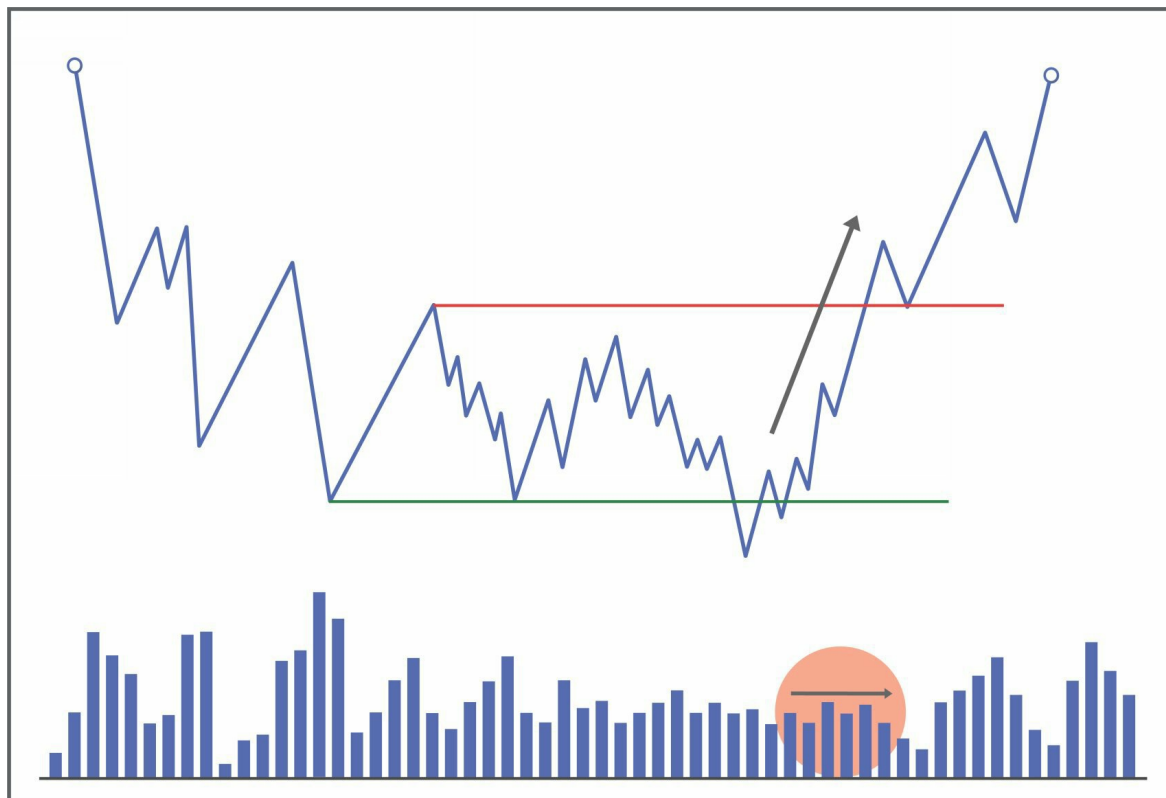
How the bullish breakout appears on the graph



The breakout without volume

Generally, ruptures should occur with increasing volume, although it is true that sometimes we could see such stocks without a particularly high volume increase. This suggests that the stock that remains available is essentially low and that therefore the operators in control will not need to make any special effort to easily displace the price.

The breakout without volume

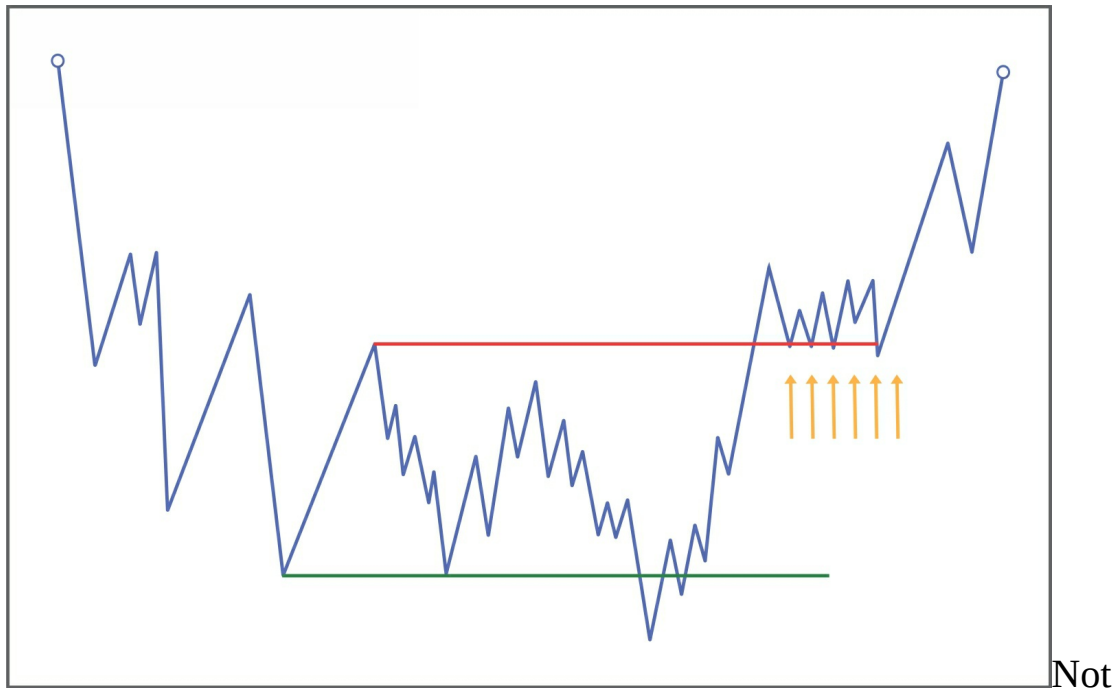


For the example of bullish breakout, if we see that it occurs with narrow range candles and a volume in the middle, in principle we should be wary of its intentionality; but what may happen is that there is very little floating supply, that is, there are very few traders willing to sell. So the absence of sellers coupled with moderate aggressiveness on the part of buyers can lead to such an upward rupture without relatively high volume.

Keys to the breakout event

It is a key moment since we could be facing a potential shaking event, so it is essential to make a judicious evaluation of the price action and the volume after the break. To do this, we can help ourselves with some clues:

Not immediately re-entering the rank



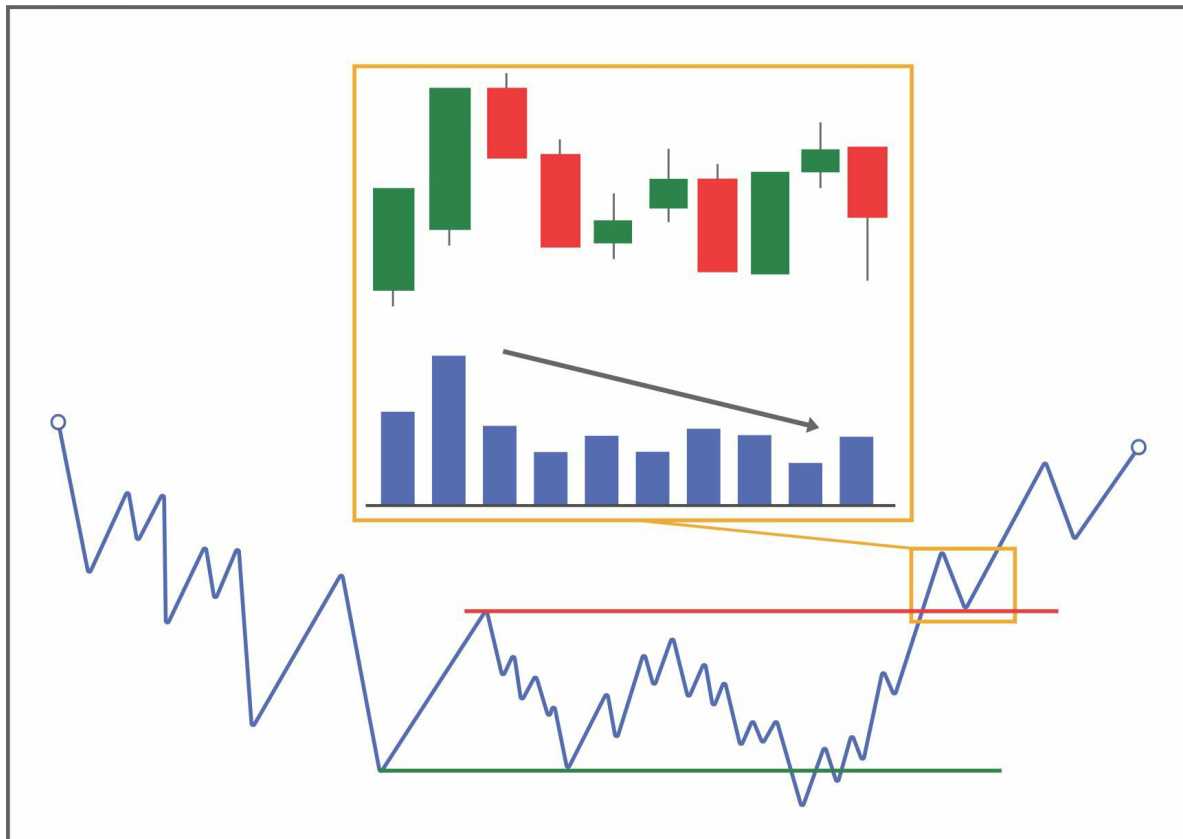
immediately re-entering in the trading range

It's the most reliable sign of intentionality. We are going to look for an effective rupture that manages to stay out of range and fails in its attempts to re-enter the equilibrium zone.

In addition to observing that the movement is accompanied by an increase in price and volume ranges; and that it breaks previous control zones (previous highs and lows and minor Creek), the most powerful indication for valuing breakout as genuine is that the price manages to stay out of the range.

It denotes that there is no longer interest at lower prices and confirms that the movement is being supported by the big operators.

Representation of lack of interest



Lack of interest after bullish breakout

Another indication that would add strength to effective rupture would be to subsequently observe unintentional candles: narrow range, intertwined and with a volume smaller than that seen on the rupture movement.

Distance of the rupture

On the other hand, the distance covered by the price could be another indication to consider. Although there is no predefined distance, the distance should be obvious. In other words, the breakout that manages to move quite a few points away from the structure gives us greater confidence.

Breakout does not offer an opportunity

In operational terms, this action does not represent an operational opportunity. This is mainly because it is in a delicate area where a huge amount of cross orders will be taking place and it could change the control of the market.

What at first appears to be an effective break could turn into a Shake. And

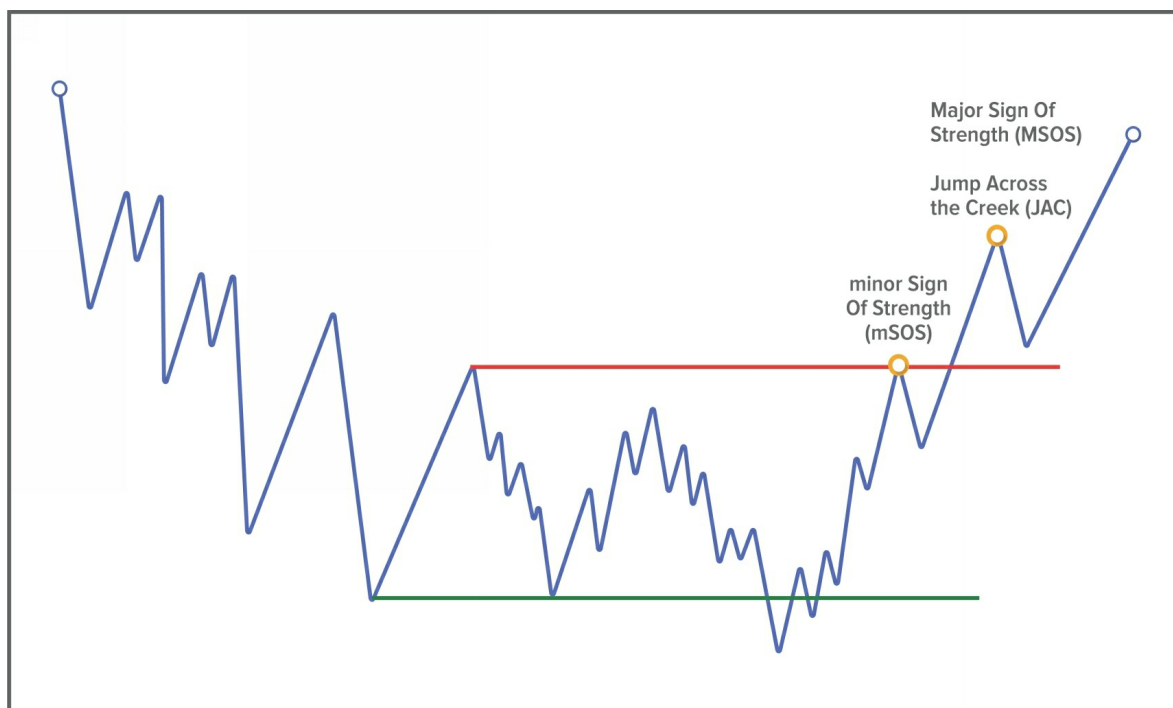
this is why it is more convenient to wait for the subsequent test with which to confirm the action definitively.

Even so, it is obviously not guaranteed that the operation will be successful. The market is an environment of constant uncertainty and is totally out of our control. As discretionary operators, all we can do is add signs that favor control on one side or the other to try to position ourselves. In the end it is a question of probabilities.

Sign of Strength

The Sign of Strength (SOS) is an upward movement that originates in the minimum of Phase C (Spring or LPS) and ends up producing the break of the high part of the range (Creek).

All this generates the change of character prior to the start of the upward movement outside the range. It is followed by a retreat to the broken Creek to generate the BackUp to the Edge of the Creek (BUEC) action. If it fails to stay above that zone and re-enters the range, the event would be an Upthrust (UT).



mSOS and MSOS/JAC

A

great show of strength what denotes is an urgency of the institutions to enter. They are very bullish and buy aggressively.

To appreciate that we can really be before an SOS we want to see that the bullish movement has ease of movement and that it reaches the midpoint of the range. In addition, any regression now should remain above the Spring minimum to show strength.

Minor SOS

In the event that the upward movement fails to break the structure, this movement would be labeled as minor Sign Of Strength (mSOS).

If during Phase B we observe a movement with SOS characteristics, we could also label this event as minor SOS.

Sign Of Strength Bar

This is a bullish bar with a wide range, closing at highs and increasing volume, although it could also be a bullish gap.

It indicates the presence of strong demand for quality. It is the institutional buying point.

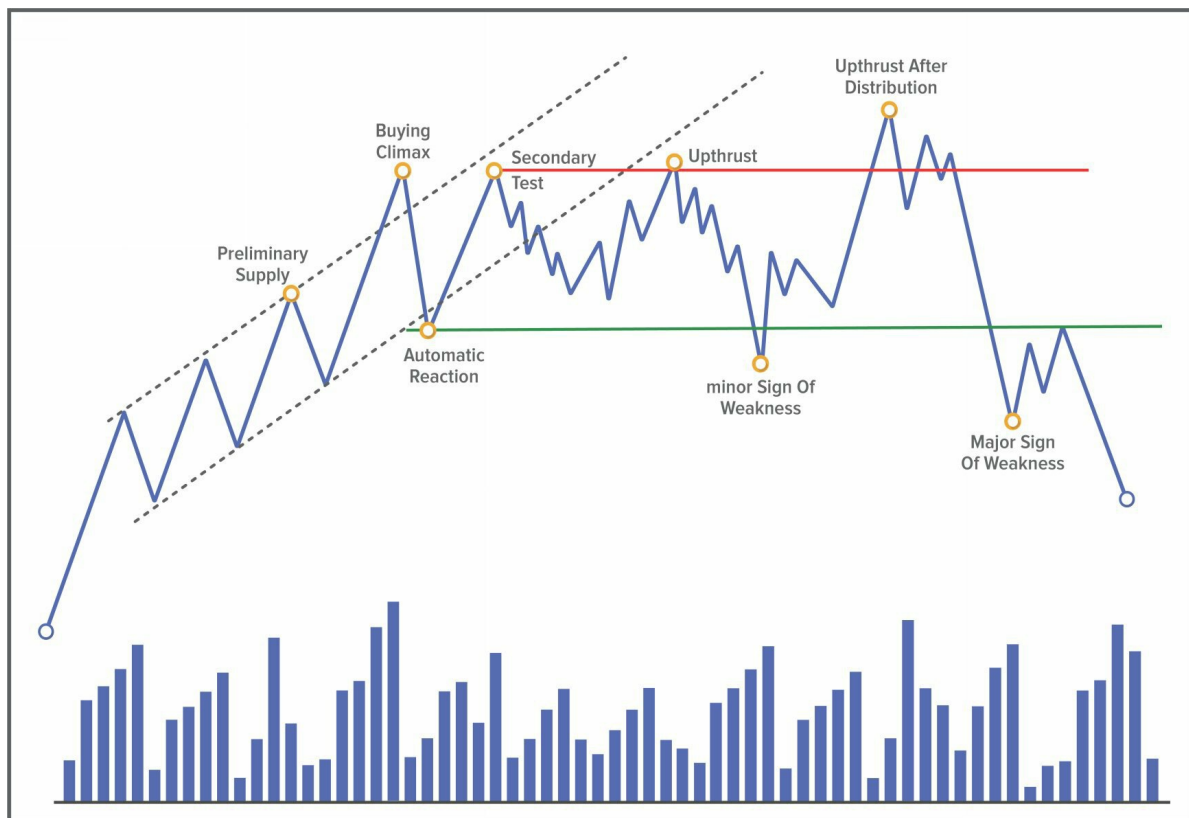
It could be used as an entry trigger. If in the operative area (after a shake, after a break and in trend) we observe a strength bar (SOS Bar), it is the definitive sign that the great professionals are supporting the upward movement and it provides us with a good opportunity to join in long.

Sign of Weakness

The Major Sign of Weakness (MSOW) is a strong bearish movement whose origin is in the maximum of Phase C (UTAD or LPSY) and causes the break of the lower part of the range (ICE) to start a new bearish trend.

It could be a second, third or fourth attempt to break the ICE and this is the most successful.

Sign of Weakness

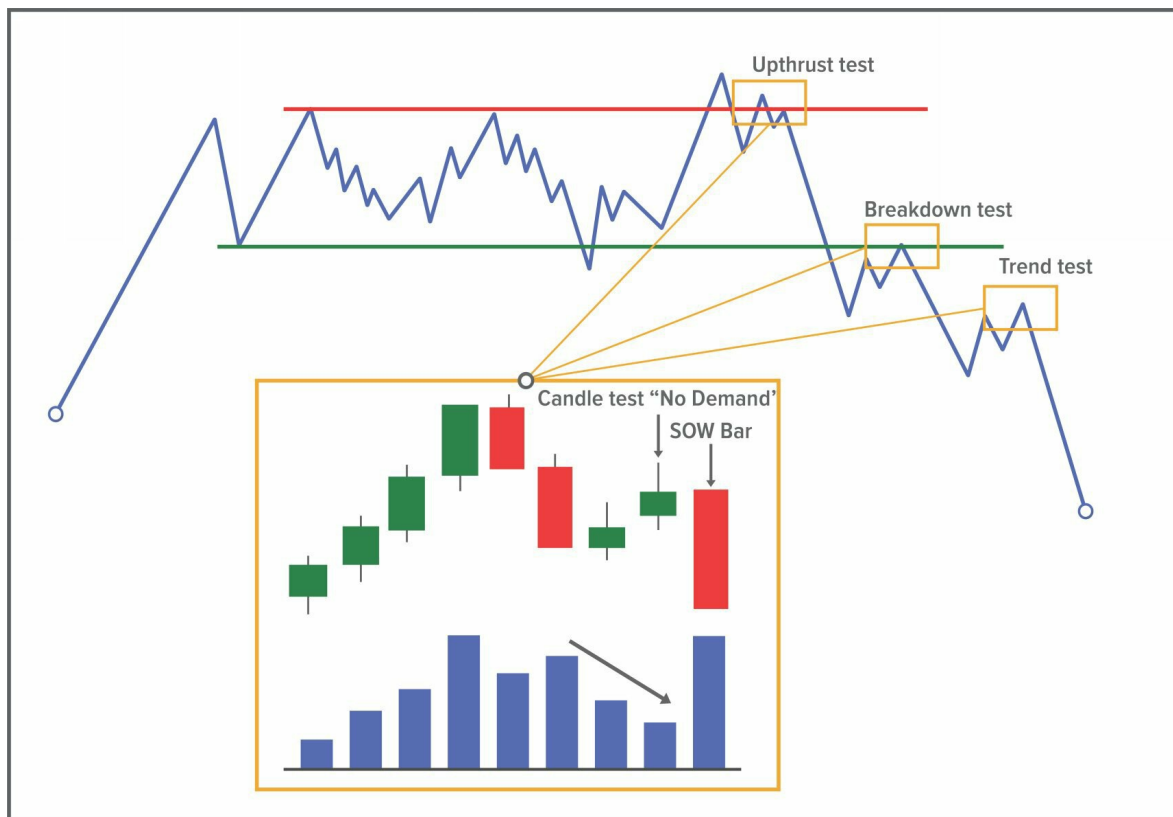


To assess the presence of the SOW we want to see that the bearish movement moves easily, covering a relatively long distance and that at least reaches half of the structure. In addition to this, any regression should not reach the maximum set by the UTAD.

minor SOW

If after the test event in Phase C this movement of weakness is not able to break the structure, we would label it as minor Sign of Weakness (mSOW). This is a sign of minor weakness.

We could also label as such any movement that during the development of Phase B meets these characteristics in price and volume.



SOW Bar

Sign Of Weakness Bar

Visually it is seen as a bearish bar with a relative increase in price and volume ranges and its closing at lows in the candle range, although it could also be identified by a bearish gap.

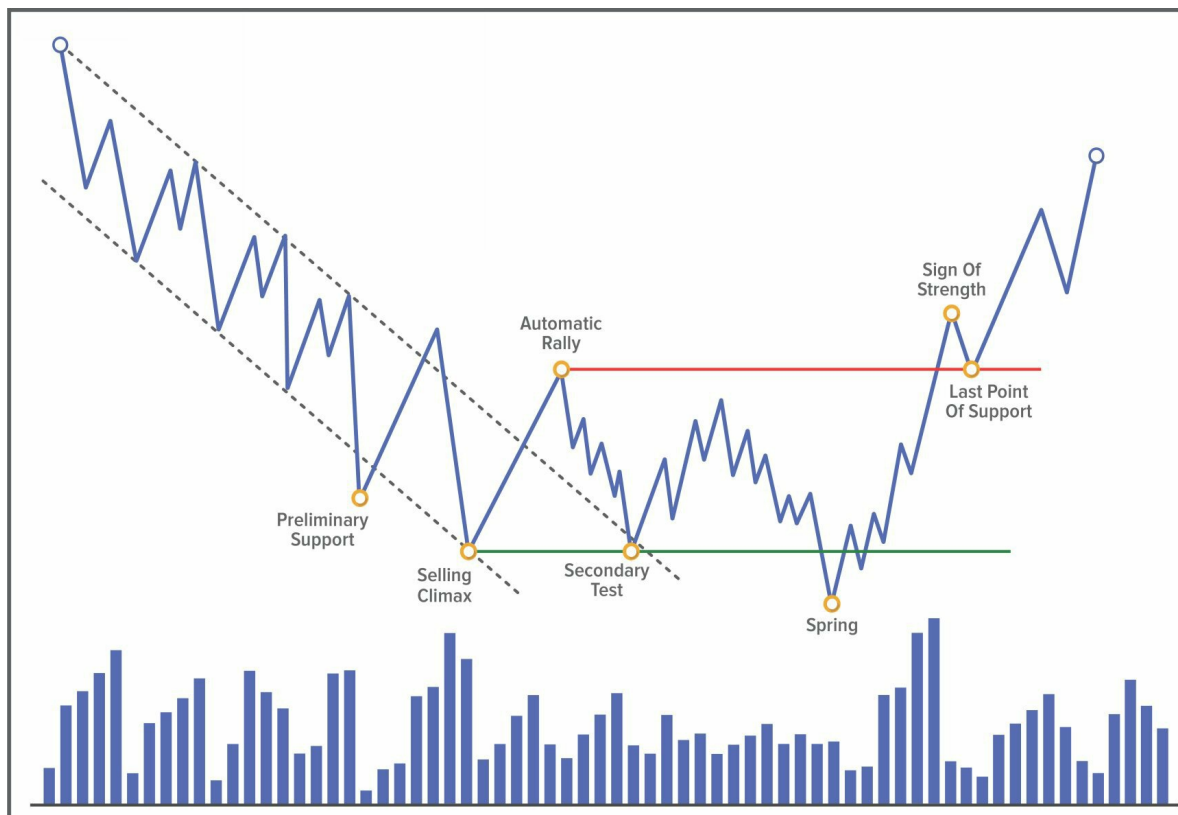
It signals the aggressiveness of the sellers and is therefore a professional point of sale.

The main use we can give it is as an entry trigger for sales operations. If in the operative zone (after a shake, after a break and in trend) we observe a bar of weakness (SOW Bar), it is the definitive signal that the great professionals are supporting the movement downwards and it provides us with a good opportunity to sell short.

Chapter 20 - Event 7: Confirmation

When the breakout event appears, it is only "potential" since the confirmation comes from your test. As with Shakes, signs of Strength or Sign Of Weakness need to be tested.

Last Point of Support



If we have a successful test, we are now in a position to label the previous move with greater confidence and the latter, your test, is the confirmation event. In other words, the test will confirm whether or not we are facing a true intentionality movement.

In terms of methodology, just as the upward rupture movement is labeled as Sign of Strength (SOS) or Jump Across the Creek (JAC), the reverse movement confirming the rupture is labeled as Last Point of Support (LPS) or Back Up to the Edge of the Creek (BUEC).

For the bass example the break as we know it causes a sign of weakness (Sign of Weakness - SOW) and the backward movement that would confirm

it is labeled as Last Point of Supply (LPSY) or Fall Through the Ice (FTI), although the latter term is less well known. We remember that the Ice is the support zone in the structures and this term comes from an analogy similar to the Creek.

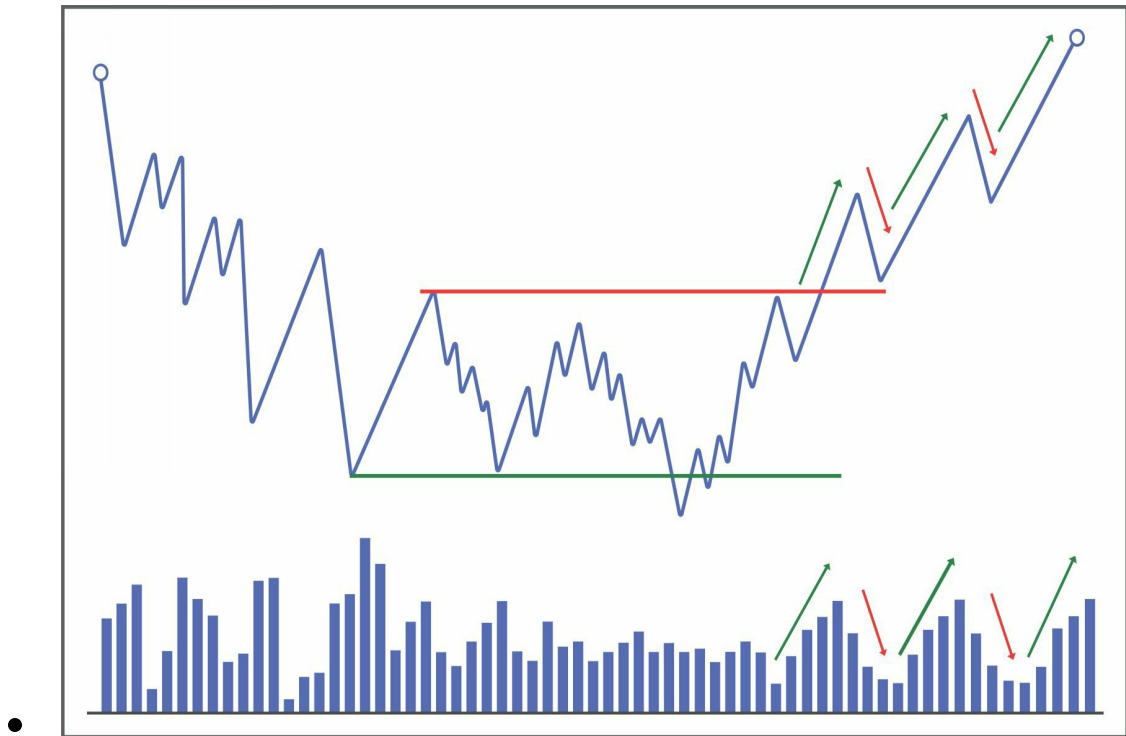
But how can we know if we can wait for the confirmation event? Obviously we can't know. It's about adding clues that make it more likely that a scenario will occur rather than the opposite one. In this case, to wait for the confirmation test we first want to see that the price makes an impulsive movement, evidenced by an expansion in the price ranges and an increase in the volume traded. At this point our main scenario should be to wait for a reversal movement to look for a trading opportunity.

How the confirmation appears on the graph

As we have already mentioned, this is the most delicate moment because it is a question of examining whether we are facing a potential event of rupture or shaking.

It is recommended to go back to the section of the previous chapter where the keys of the breakout event are commented. In this action of confirmation we seek to make exactly what is exposed there happen:

- That the market travels a significant distance in the breakout movement.
- Let the test movement be done with narrow range, interlaced and low volume candles.



Natural action for trend movements

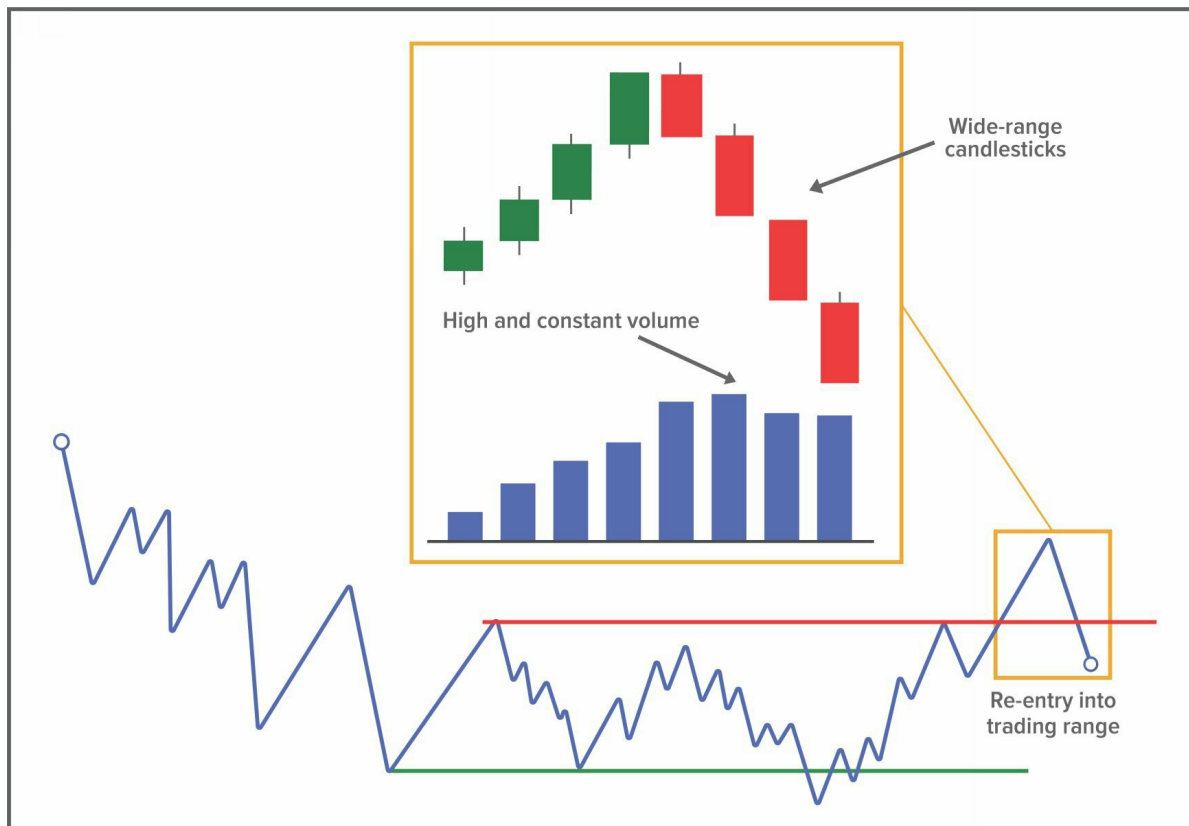
That the price does not re-enter the range.

As we have seen, the breakthrough movement will give us greater confidence if it is accompanied by an increase in price ranges and volume; likewise, we want to see that the reverse movement that will test the broken structure is accompanied by a decrease in price ranges and volume in comparative terms.

This is the natural action for all movements that make up a trend: impulsive movements that show intentionality and corrective movements that denote lack of interest.

Warning signal after breakout

If there is a relatively high volume on the confirmation test, it is best to proceed with caution as this volume indicates that there is latent interest in that direction.



Signal alerting of possible shaking instead of breakout

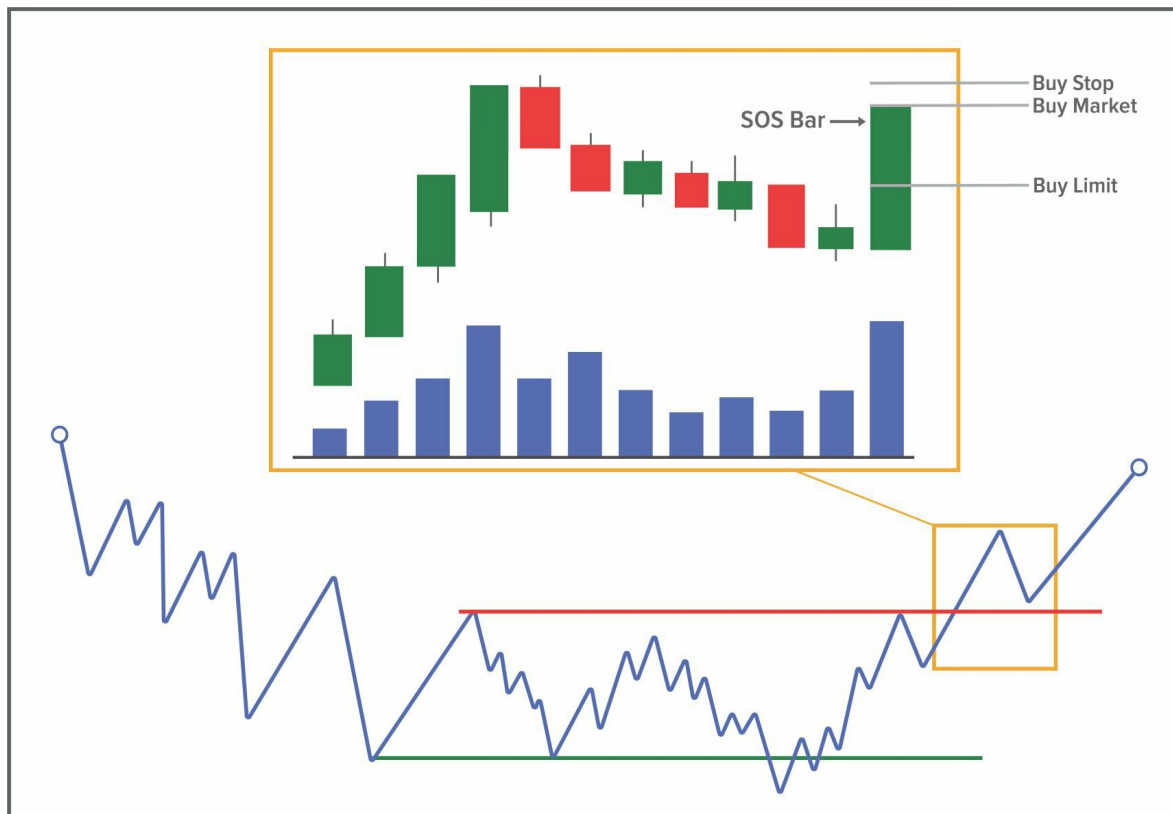
And as we know, the big trader will not initiate the expected move until he has made sure that the road is free of resistance. Therefore, we should wait for successive tests to be developed over the zone.

A corrective move with wide price ranges and high volume cancels out the likelihood that the first move will be a break and most likely at this point the price will re-enter the range leaving the potential break finally as a shaking.

Operational Opportunity

This confirmation event appears in an ideal location to enter the market or to add to an open position.

Buying Opportunity at BUEC



Originally this was the preferred position for Richard Wyckoff to enter the market because in our favor we have identified all the price action on our left where we can see the effort of professionals to carry out an accumulation or distribution campaign and therefore offers us an opportunity with a relatively lower risk.

To buy, a good option would be to wait for a fortress candle (SOSbar) to appear and place a market entry order, or a stop order at the break of the candle, or even a limited buy order at a certain level waiting for the price to fall back to it. Place or move the stop loss of the entire position under the Last Point of Support and the broken Creek.

To sell, wait for a good weakness candle (SOWbar) to appear and enter the market using the order that best suits your personality as a trader. Place or move the stop loss over the Last Point of Supply and the broken Ice line.

Quantify the entry trigger

Unfortunately, all discretionary approaches by their very nature have a great disadvantage due to the subjectivity required when carrying out analyses and

presenting scenarios.

This subjectivity is the reason why methods with a real underlying logic such as the Wyckoff methodology may not be winners in the hands of all operators.

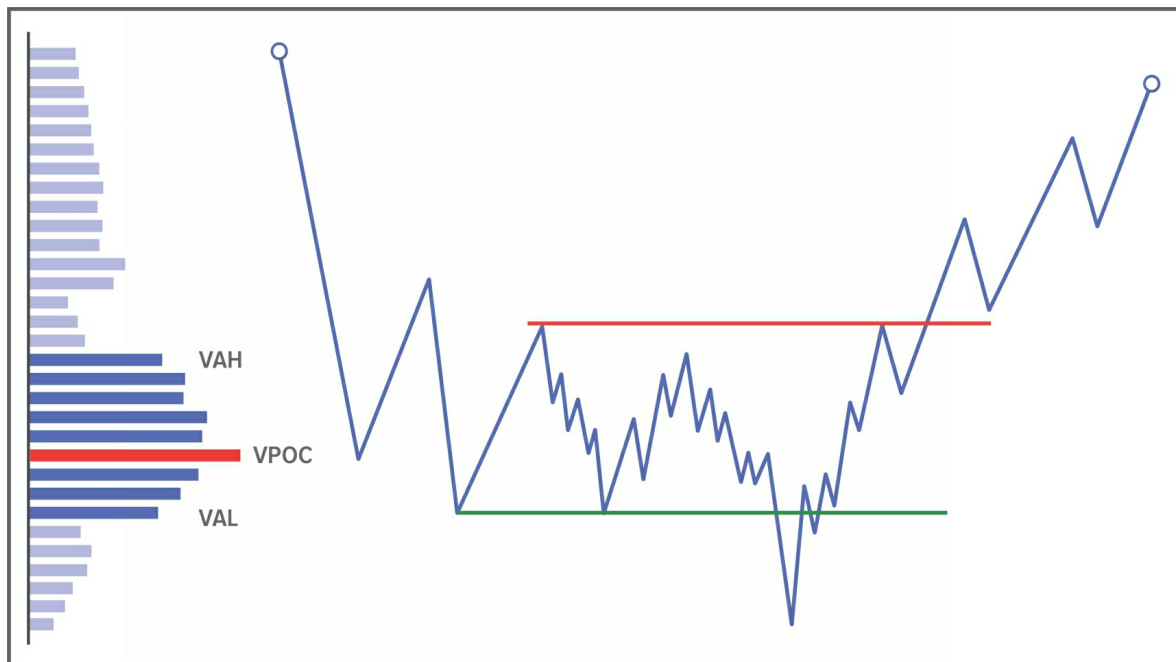
As you may have read somewhere else, human participation in a trading strategy is considered to be the weakest link, and this is obviously due to the emotional section that governs us.

To mitigate this, many recommend trying to objectify our trading strategy as much as possible. But this is not a simple task, much less for Wyckoff traders. There are so many elements to bear in mind when considering scenarios that it would seem impossible to create a strategy with 100% objective rules that always operates in the same way.

One solution that is in our hands is to try to quantify the trigger that we will use to enter the market. It is undoubtedly a simple measure that can help us to incorporate some objectivity into our strategy.

If you are only trading using bars or candles, you may want to quantify what happens when a certain price pattern appears. For example, to buy, we could quantify a simple price turn composed of a bearish candlestick followed by a bullish candlestick. And from there we can complicate it as much as we want. We can add other variables such as that some moving average is below, that the second bullish candle is higher than a number of pips, that a stop purchase order is used at the break of the candle and so on.

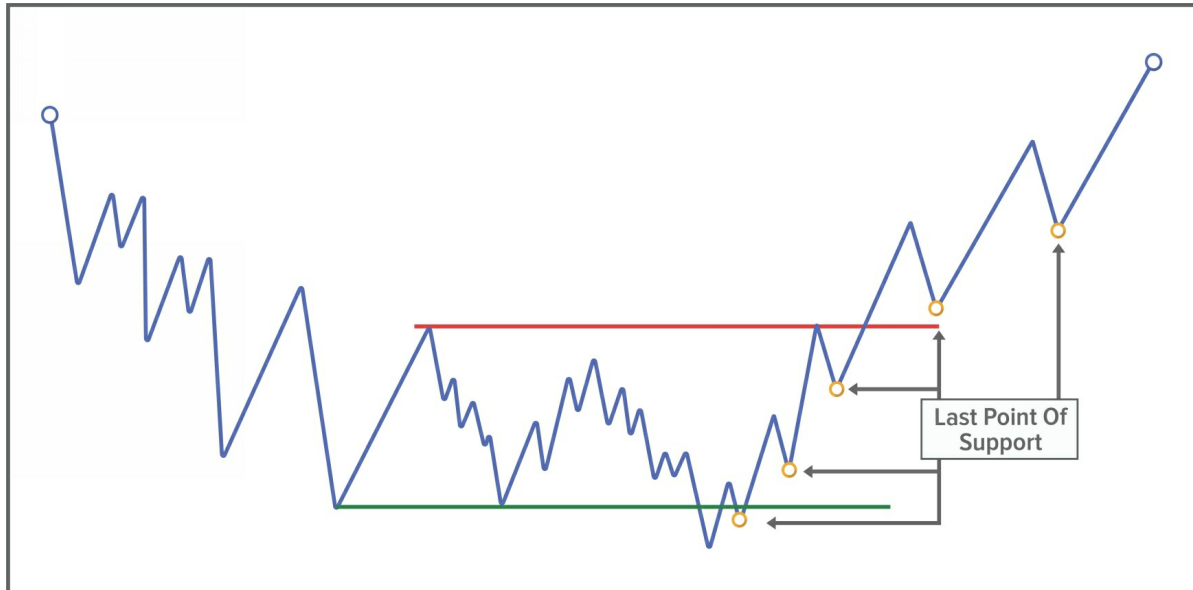
Example of Volume Profile



If you are also trading using volume based tools, you may want to add other variables such as the price being above the POC (Point of Control), VAH (Value Area High), VAL (Value Area Low) or VWAP (Volume Weighted Average Price); or that the bull candle is also accompanied by a significant increase in the Delta (Difference between Bid and Ask).

The options are endless, from the simplest to the most complex; the only limit is our creativity. But this is hard work because if you don't know how to do it through code (programming a robot), you will have to do it by hand and this will require a lot of time. In addition, when doing a Backtest you have to take into account other aspects such as data quality, expenses in commissions (spreads, commission, swap), latency problems (slippage), as well as other points concerning the optimization of strategies.

Last Point of Support



The Last Point of Support (LPS) is the immediate action that precedes a Sign of Strength (SOS). It is an attempt by sellers to push the price lower but fails when buyers aggressively appear, giving rise to a new bullish momentum.

Last Point of Support Types

Based on the movement that precedes the Last Point of Support, we can find different types:

- Last Point of Support after shaking. In case the price comes from developing a Spring/Shakeout, the Last Point of Support would be the test of those two events.
- Last Point of Support within the range. If the price comes from developing a Sign of Strength, the Last Point of Support will appear in the bearish reversal.
- Last Point of Support out of range. Here we have on the one hand the test movement after the break (the confirmation event, the Back Up to the Edge of the Creek); and on the other hand all the setbacks we found during the uptrend Phase out of range.

As we know that the market moves by waves; after the bullish impulse (Sign of Strength) we expect a bearish retrocession (Last Point of Support). This retracement is the last point of support for demand. It is a price point where buyers appear to stop the fall, generating a higher minimum. This higher

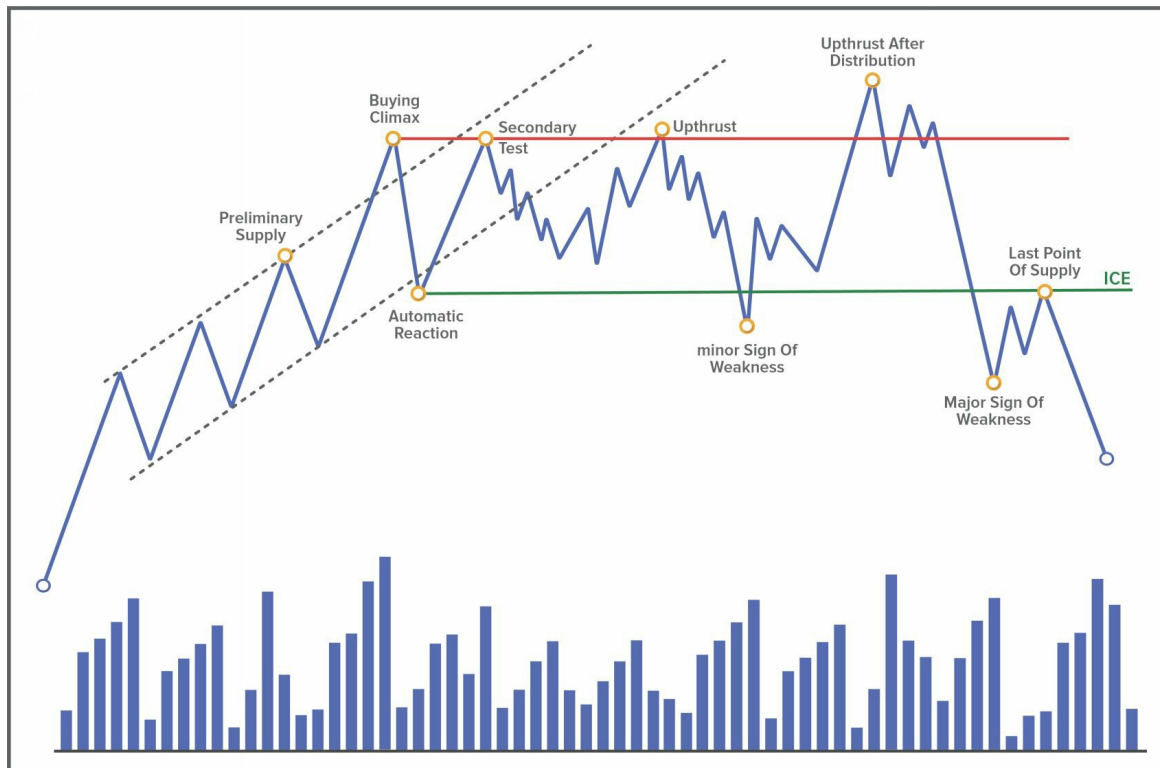
minimum is a previous stop before starting with a new upward impulsive movement.

Many traders guided by their lack of understanding will be buying during the development of the strength signal (SOS). But this action is not correct, it is best to wait for the next reaction (LPS) at that point to start looking for a trigger to enter the market.

Sometimes the Last Point of Support will occur at the same price level on which the Preliminary Support appeared because that's where the big operators started buying the asset.

Last Point of Supply

Last Point of Supply



The Last Point of Supply (LPSY) is the immediate action that precedes a Sign of Weakness (SOW). This is an attempt to raise the price but is blocked by the big sellers, who are already positioned short and appear again to protect their positions.

Based on the movement that precedes the Last Point of Supply, we can find different types:

- Last Point of Supply after shock. In case the price comes from developing an Upthrust After Distribution, the Last Point of Supply would be its test.
- Last Point of Supply within the range. If the price comes from developing a Sign of Weakness, the Last Point of Supply will appear in the bullish retreat.
- Last Point of Supply out of range. Here we have on the one hand the test movement after the break (the confirmation event, the Fall Through the Ice); and on the other hand all the setbacks we found

during the downtrend Phase out of range.

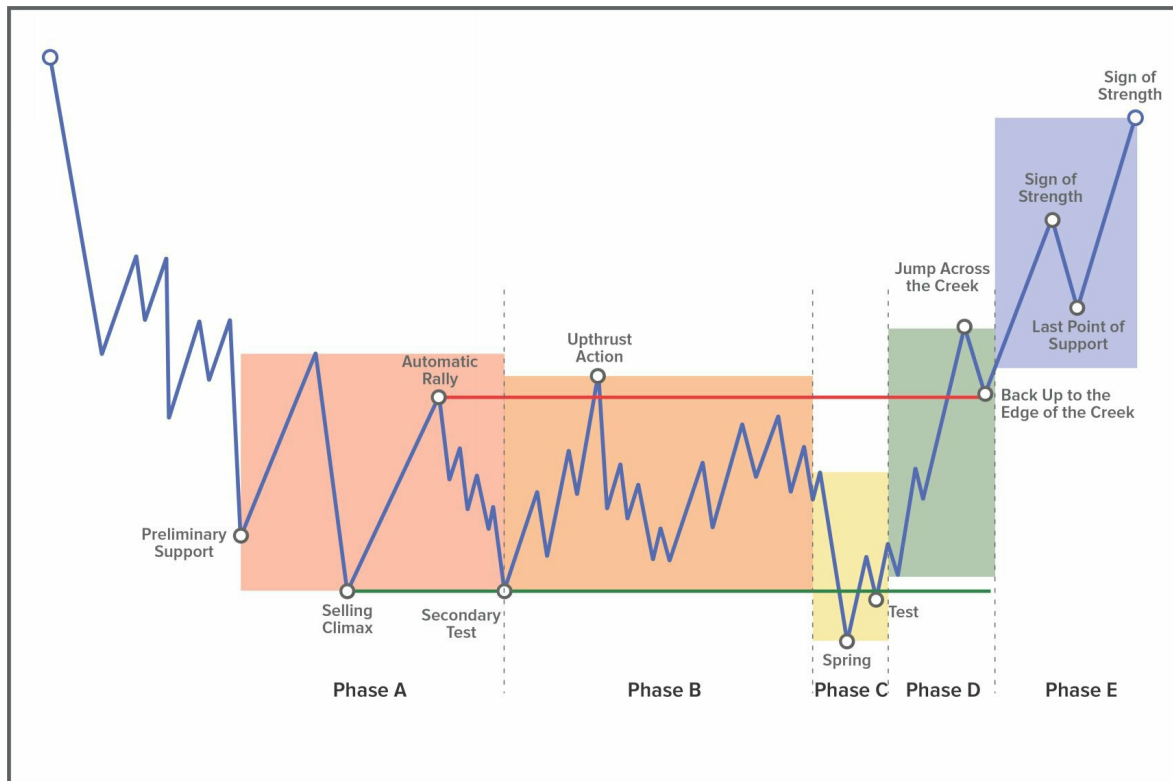
After breakout the Ice (support) with a sign of weakness (Sign Of Weakness), we want to see an upward movement with narrow price ranges, which would denote the difficulty of the market to keep rising. Preferably we will expect the volume to be low, indicating a lack of interest from buyers; but we have to be careful because a high volume could signal an increase in selling interest by shorting the zone.

Last Point of Supply are good places to start or add short positions as they are the last distribution waves before a new bearish momentum begins.

The price reached in the Last Point of Supply will sometimes coincide with the level above which the Preliminary Supply appeared. This is so because if the structure is distributive, it is on the Preliminary Supply where the distribution initially began.

Part 6 - Phases

Phases



Phase analysis helps us to structure the processes of accumulation and distribution, providing us with the general context of the market. Once the general context is identified, we will be predisposed to wait for one thing to happen rather than another.

Context is a very important feature of the Wyckoff methodology, and gives it an important advantage over other technical analysis approaches. For example, a trader based on traditional technical analysis may see a resistance and seek to enter short over that area expecting a market turn; and on the other hand, a Wyckoff trader who has correctly identified the Phases may have established a greater probability that the price will effectively break that resistance and may even consider buying while waiting for the start of the uptrend outside the range.

Within the Wyckoff methodology we have five Phases: from A to E; and each of them has a unique function:

- Phase A. Stopping the previous trend.

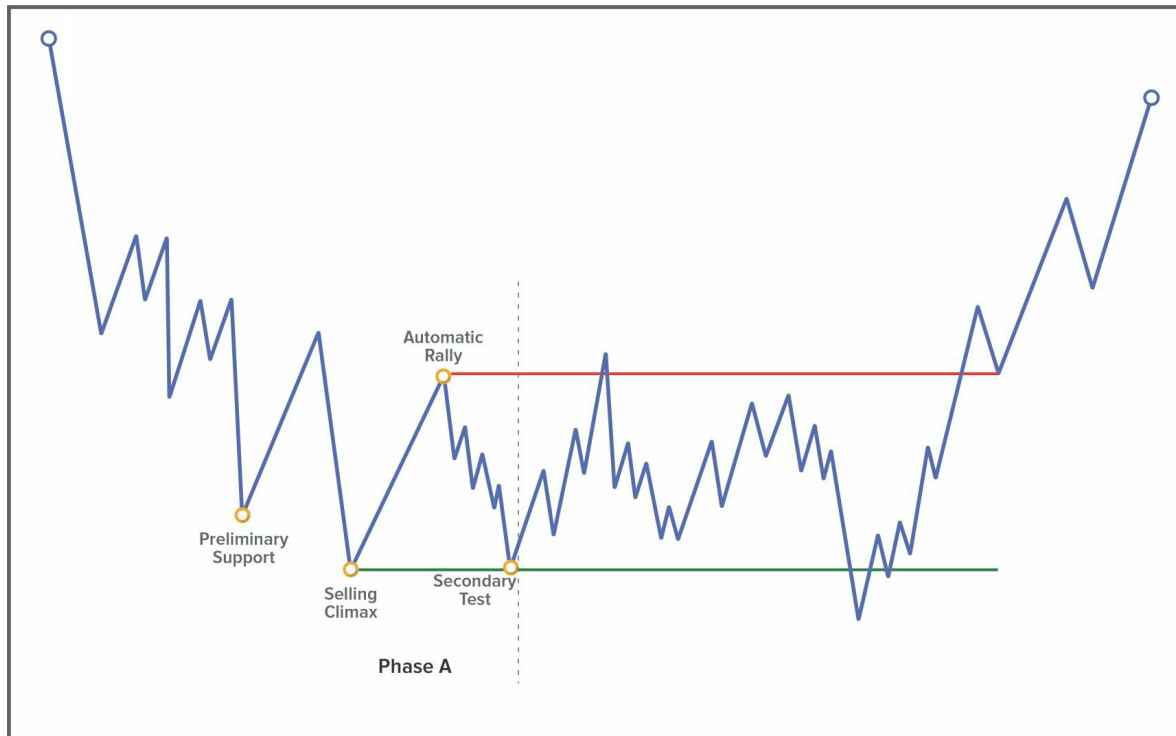
- Phase B. Building the cause.
- Phase C. Test.
- Phase D. Trend within range.
- Phase E. Trend out of range.

By analyzing price and volume we will be able to correctly identify when they start and end. It is very important that the analysis so far is correct because it will be the only way to take advantage of the message that underlies its development.

The Phases are based on the fact that all campaigns (accumulations and distributions) require a certain amount of time until they are completed. During this time, the price develops the structures we already know. The power of Phase analysis lies in the fact that these structures generally follow repetitive patterns in their development. This means that, if we are able to correctly identify what is happening (accumulating or distributing), we will be closer to presenting scenarios with a greater probability of success.

Chapter 21 - Phase A: Stopping the previous trend

Phase A: Stopping the previous trend



The main function of this Phase is to stop the previous trend movement and return the market to a state of equilibrium between the forces of supply and demand, or between buyers and sellers. We move from a trend context to a range context.

Phase A consists of the first four events:

- Preliminary Support and Preliminary Supply
- Selling Climax and Buying Climax
- Automatic Rally and Automatic Reaction
- Secondary Test

Prior to the start of this first Phase, the market is controlled on either side. As we know, a control of the sellers will be represented as a downtrend; and a control of the buyers as an uptrend.

The price may be reaching interesting levels where the big trader begins to see value. In other words, they see a potential profit with the difference they

have found between the value they give and the current price. It is time to start developing the stock absorption campaign.

But we will not be able to identify this signal of true interest until the first events of the methodology appear. The **Preliminary Stop** with its peak volume already alerts us to an increase in participation and a possible massive closure of positions. The most likely thing is that the big traders have begun to glimpse an overextended condition in the price and begin to take profits.

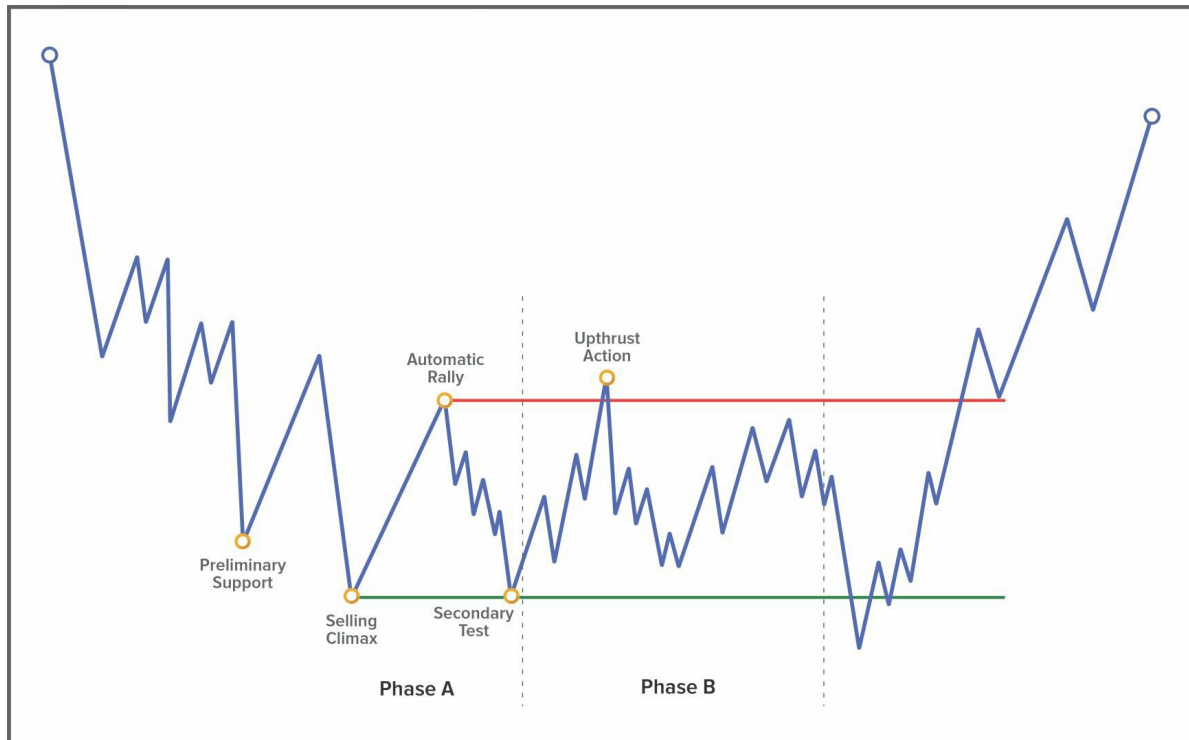
The **Climax**, which as we know can also appear without climatic volume (Selling Exhaustion and Buying Exhaustion), identifies us one of the extremes of the structure and its action is very relevant to finish exhausting those who until then maintained control of the market.

The appearance of the **Reaction** is one of the most informative events because it confirms that something is happening. The price came previously in a prolonged trend and this reaction is the first time that it lets see with relative significance that there begins to be an interest in the other side.

The **Test** puts an end to this first Phase by starting the development of Phase B from there.

Chapter 22 - Phase B: Building the Cause

Phase B: Building the Cause



After the Secondary Test the Phase B begins, whose intention is the construction of the cause with the objective of preparing the subsequent effect.

Phase B consists of successive tests (Secondary Test in B) that can be performed at both the upper and lower ends of the structure:

- Upthrust Action and Upthrust
- Secondary Test as Sign of Weakness and minor Sign Of Weakness

During this Phase the market is in equilibrium and this is where the great professionals take advantage to absorb most of the stock they need before the end of the season.

In proportional terms we want this Phase to be greater than Phases A and C. This is a general guideline because, although there will be occasions when the Phases will be of equal or even shorter duration (such as in a hypodermic

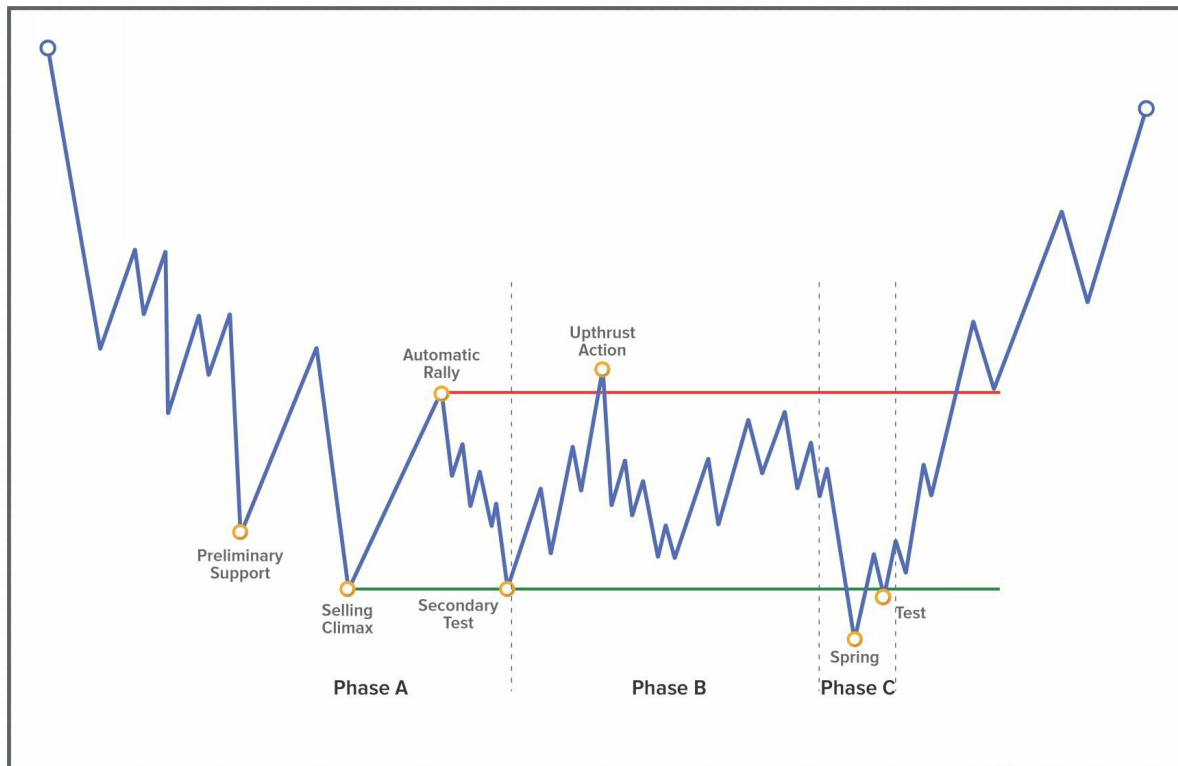
action or V turn), it is most likely that we will find that this type of temporal proportionality is met.

If this proportionality is not met, i.e. Phase B has a shorter duration than Phase A or C, this will denote an urgency on the part of the operators who are absorbing the stock and adds greater strength to the trend movement that follows.

Chapter 23 - Phase C: Test

Phase C begins with the start of the jerk movement and ends after the jerk test.

Phase C: Test



In this Phase the great professional checks the level of interest that the rest of the market participants have on certain price levels.

It is made up of the Shaking event:

- Spring/Shakeout
- UpThrust After Distribution (UTAD)

Before starting the trend movement, it is most likely that they will develop this Shake action in order to verify that there are virtually no traders willing to enter the opposite direction and that therefore the path of least resistance is in their favor.

If they observe a high participation in that zone, this means that they have not yet absorbed all the available stock and that therefore the control of the

market is not yet unbalanced towards one of the sides (buyers or sellers).

Under this circumstance, it is most likely that either the large operators will give up the campaign, continuing the price in this case in the same direction as the prevailing trend; or Phase B will continue to be extended until there is complete absorption of all this available stock, producing an imbalance in favour of professionals. In this case, the price will need to carry out successive tests in this area until the lack of interest is verified.

A very important aspect to bear in mind that can happen at this stage is that the shaking event will not necessarily sweep the ends of the structure. Doing so is ideal because the greater this movement, the more liquidity you will have been able to capture and therefore the more "gasoline" the subsequent movement will have.

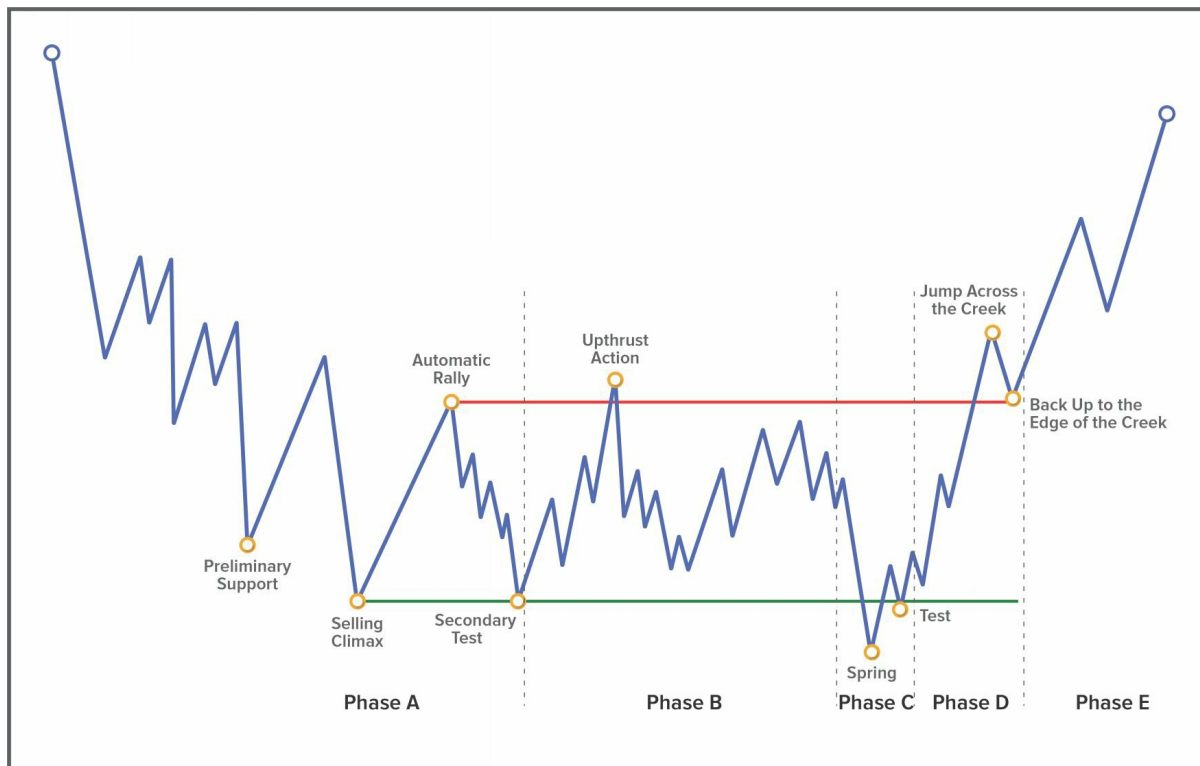
But it can also be the case that a Shake takes place without reaching the extremes. We would still be before the Test event in Phase C and we could label this action as Spring/Upthrust minor, or Spring/Upthrust in function of Last Point of Support/Supply.

In any case and as I usually repeat, the labels "is the least". We have to think in functional terms and what really interests us is to know what is happening. It is of little use to us to know how the methodology labels market actions if we do not know in depth what lies behind them.

Chapter 24 - Phase D: Trend within range

The beginning of this Phase is after the end of the shock test and until the confirmation event is fully developed.

Phase D. Trend within range



Without opposition to sight, the path of least resistance is clear. The market is in imbalance and this is observed in the graph through the development of the Break event.

Phase D consists of the **Breakout** and **Confirmation** events:

- Sign of Strength/Jump Across the Creek and Sign of Weakness
- Last Point of Support/Back Up to the Edge of the Creek and Last Point of Supply

If we are correct in the analysis, after the key Shake event, the price should now develop a clear trend movement within the range with wide candles and increased volume to cause the effective breakdown of the structure.

That zone that establishes the Reaction event (Creek or Ice) is the last barrier that must be overcome to conclude that one side has final control. If the price reaches that area and there is too much opposition (there are still many traders willing to trade against this movement), we are left with two possible scenarios.

On the one hand, the price may fall back again by developing a Last Point of Support/Supply within the range before attacking that area again (it would be

something like taking a run to jump the river); or on the other hand, those large traders who have previously built the campaign may decide to pay the price it will cost them to cross that area and start from there the breakout movement, absorbing all those orders at a worse price.

We would still have to be alert to a third possible scenario, which would be that this attempt at rupture fails and develops in it a new shock, a new Test in Phase C that would cause the effective rupture towards the opposite side.

If the price has developed structurally as planned, this last possibility should be the least likely to happen, but we must be aware of it and keep it in mind. What happens in this case is simply that higher forces have been absorbing in the opposite direction; developing a much more discreet absorption campaign.

We must bear in mind that the market is a struggle between great professionals, between funds and institutions with all kinds of interests. An important point to make is that not all institutions operating in the financial markets make money. The truth is that a large number of them are just as much losers as the vast majority of retail operators. These losing institutions are the favorite victims of the big operators as they handle significant amounts of capital.

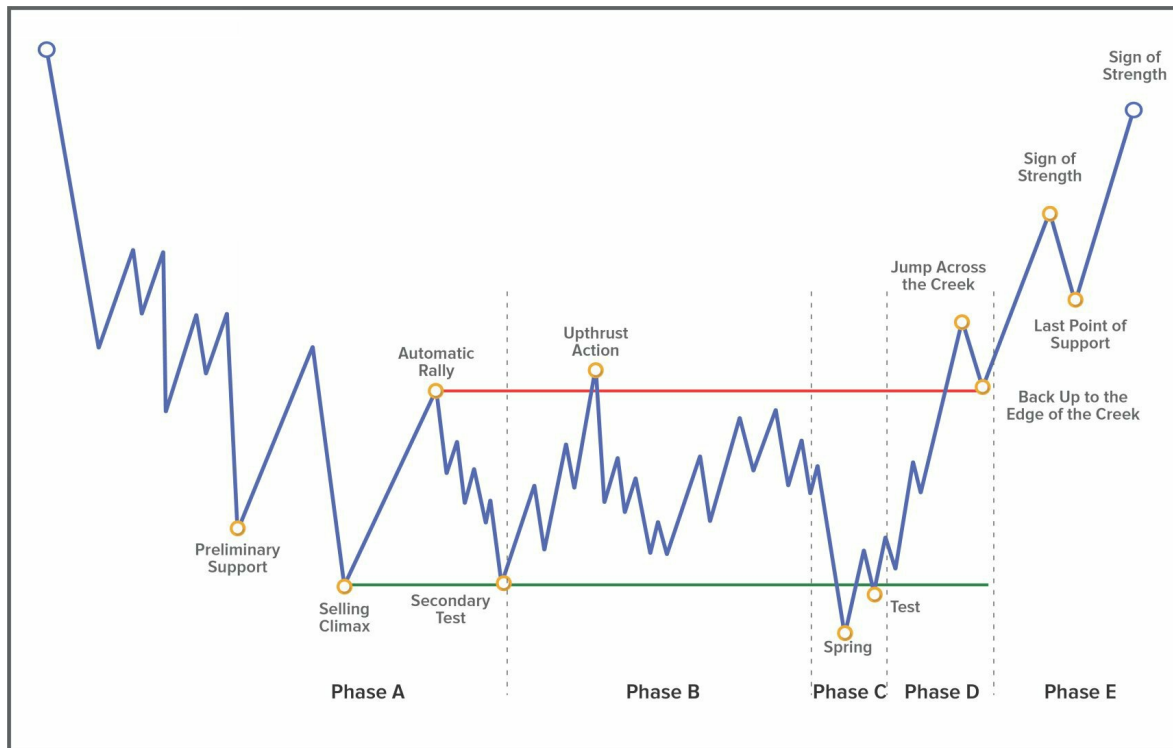
If the breakout develops relatively easily, and the signals leaving the price and volume so indicate, then we will look for the confirmation event to unfold.

For this one, as we have already commented, it is essential that the price endures on the other side of the structure and does not generate an immediate re-entry. Besides this, we will look for that test movement to be generated with little interest.

Chapter 25 - Phase E: Trend out of range

This Phase starts after the confirmation event.

Phase E. Trend out of range



If the test after the break was successful and no traders appeared in the opposite direction, it can definitely be confirmed that one side has absolute control of the market and therefore we should only seek to trade in that direction.

This Phase consists of a succession of impulsive and reactive movements:

- Sign of Strength and Sign of Weakness
- Last Point of Support and Last Point of Supply

The price abandons the structure upon which the cause has been built previously and begins a trend as an effect of the same. This fact of successful break + confirmation is the great warning that great professionals are positioned in that direction.

It is from this point on that we must implement all the tools for evaluating trends.

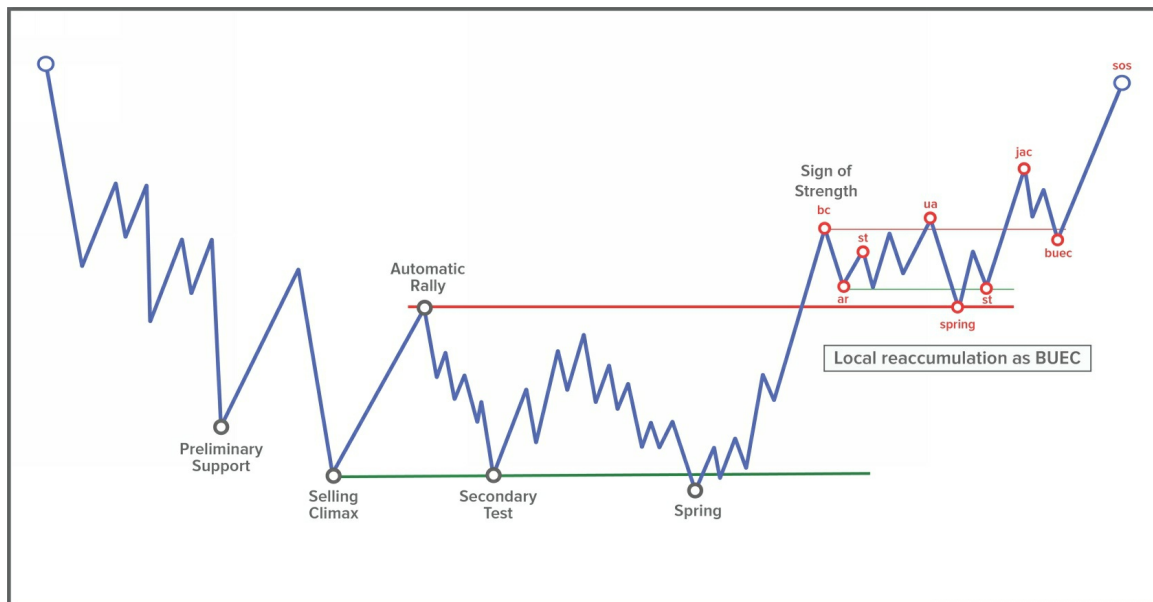
Part 7 - Trading

Our trading and investment decisions will be based on the three elements that I believe are most important to consider in the discretionary reading of charts, in order: the context, the structures and the operating areas.

1. The context

It has to do mainly with what is on the left of the chart, both in the time frame you decide to trade and in some higher time frame.

The importance of context



The vital rule regarding context is clear: operate in favor of the larger structure. This means that, as markets develop multiple structures at the same time but in different temporalities, we must always prioritize the development of the longer-term structure. This is the most logical way for us to bias the direction of the market.

For example, if we find ourselves after the upward break in a potential accumulation structure of a higher time frame, over that area we will favor the development of a smaller reaccumulation structure that will act according to BUEC of the larger structure.

In this example we see how our analysis has been biased (favouring the development of a reaccumulation) based on what the price was doing until it reached that point (the potential main accumulation structure). This is the

importance of context.

In addition to providing us with more secure trading opportunities, identifying the context also helps us not to look for trades on the wrong side of the market.

In other words, if our structural analysis tells us that the market could be accumulating, from that moment on we will only try to look for buy trades; discarding outright the sell trades.

This is very important as eventually we may not be able to find our way into the current upward movement, but at least we will avoid being positioned on the wrong side of the market, which in this example would be the short side. We will not be able to win, but at least we will not lose.

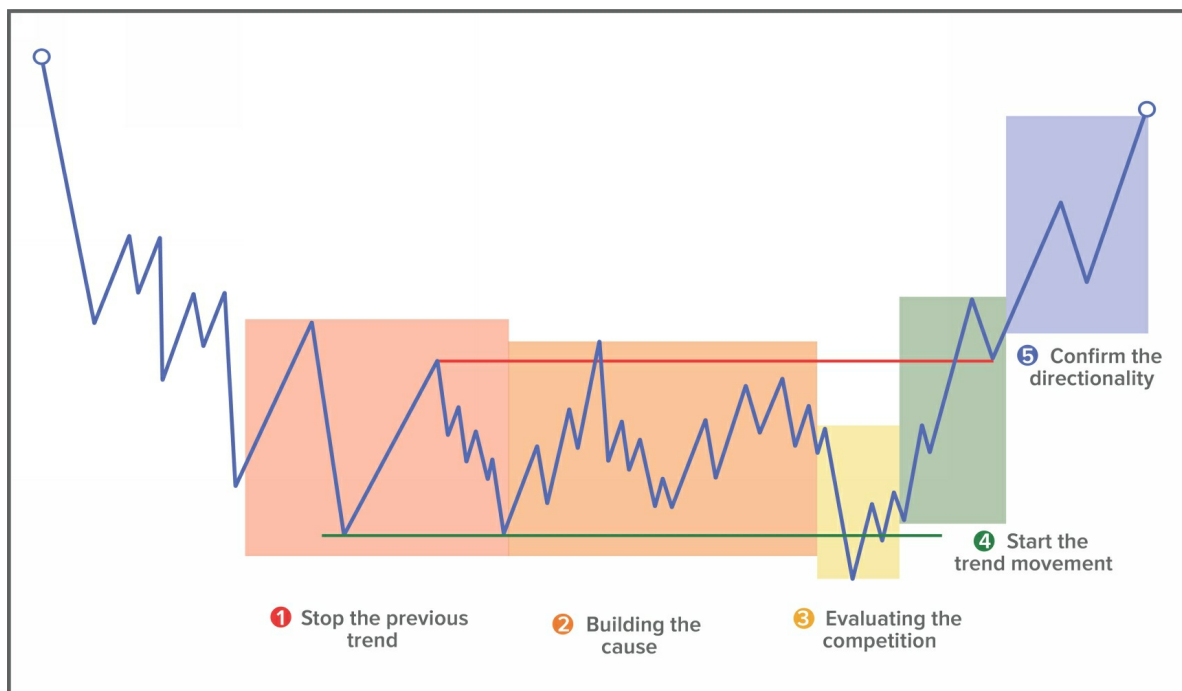
2. The structures

It is the cornerstone of the Wyckoff methodology. Our task is to try to understand what is happening within the structures, who is gaining control between buyers and sellers.

The only objective of internalizing all the theory seen so far is to arrive at this point in the operation to pose scenarios as robust as possible.

Many are the operators who underestimate the Wyckoff methodology's approach, alluding to the fact that it was developed under very different market conditions than the current ones. This is absolutely true since the technologies available at the end of the 20th century, as well as the structure of the market itself, have changed considerably with respect to more modern times.

What has not changed is that in the end it is about the interaction between supply and demand. Regardless of the source that executes the orders of the participants, this interaction leaves its mark on the price in the form of structures that repeat themselves continuously.



The importance of structures

The logic of the structures is based on the fact that, in order for the price to be rotated, it needs to be accumulated or distributed in a protocol that requires time and is developed systematically. Although markets sometimes cause aggressive V-turns, this is not the norm and we should therefore focus on the complete development of the structures.

This protocol roughly follows a series of steps (phases and events of the methodology) that allow us to know when the price is likely to be turned. In summary, these steps are:

1. Stop the previous trend
2. Building the cause
3. Evaluating the competition
4. Start the trend movement
5. Confirm the directionality

What the Wyckoff methodology has done is put a magnifying glass on each of these steps and create a discipline whose objective is to evaluate the footprints left by the interaction of supply and demand on price and volume

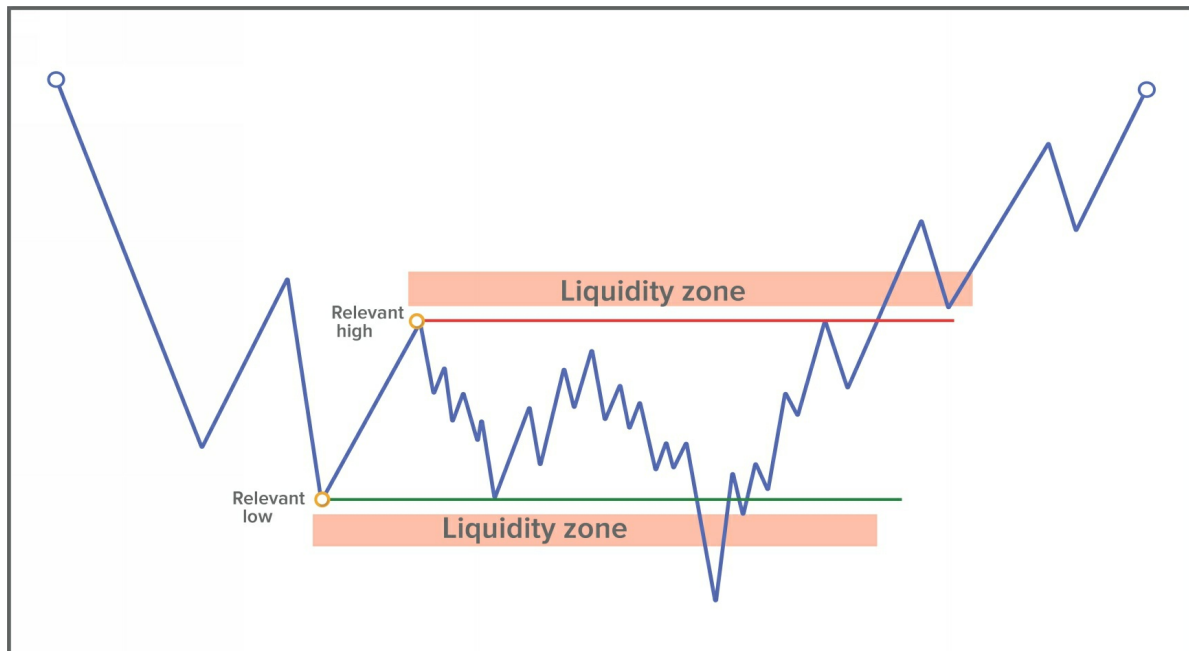
to discern where market control is most likely to be imbalanced. This is the task of the Wyckoff trader.

But back to the beginning, the objective is to pose solid scenarios; and this will be impossible if we do not know all the elements that make up the methodology.

3. Operational areas

The underlying principle is auction theory and the market's need to facilitate trading. We have discussed this previously. Large traders need to find other traders with whom they can place orders when opening and closing trades (counterparty). That is why they take advantage of the Shake movements to open positions, and keep them until they reach certain levels where they will again find enough liquidity to close those positions.

The importance of operational zones



The key is that these operating zones act as price magnets because they generate enough interest to make different traders want to place their pending orders on them (attracting liquidity). And this liquidity is what makes the price tend to come to them.

For example, large traders who have bought heavily on a bearish move (Spring), will need to keep the position open at least until they find another

major liquidity zone that allows them to close those purchases. Since they now want to take profit (close buy positions = sell), they need volume buyers; traders willing to buy their sell orders.

That is why they almost obligatorily need to visit these zones/levels in which there are a large amount of pending orders to be executed (liquidity); allowing us to indirectly take advantage of this information. Later on, we will go deeper into some of these levels in particular.

Chapter 26 - Primary positions

Within the methodology, the only areas on which a possible operation will be assessed are very well defined: In Phase C, in the zone of potential shock; in Phase D, during the development of the tendential movement within the range and in the test after the break; and in Phase E looking for tests in tendency or minor structures in favor of the major structure (context).

We are going to detail the different zones on which we will look to operate, as well as the different events that can occur within them.

When comparing the advantages and disadvantages between the different operating positions, the key is that the greater the development of the structure, the greater the confidence we will have in the operations, but the lower the potential benefit due to this. It would be the same thing to say that, the sooner we get the signals, the greater the potential travel and the lower the reliability.

In Phase C

This is the position that offers us the best Risk:Reward ratio since we are at one end of the structure and the potential movement is relatively large.

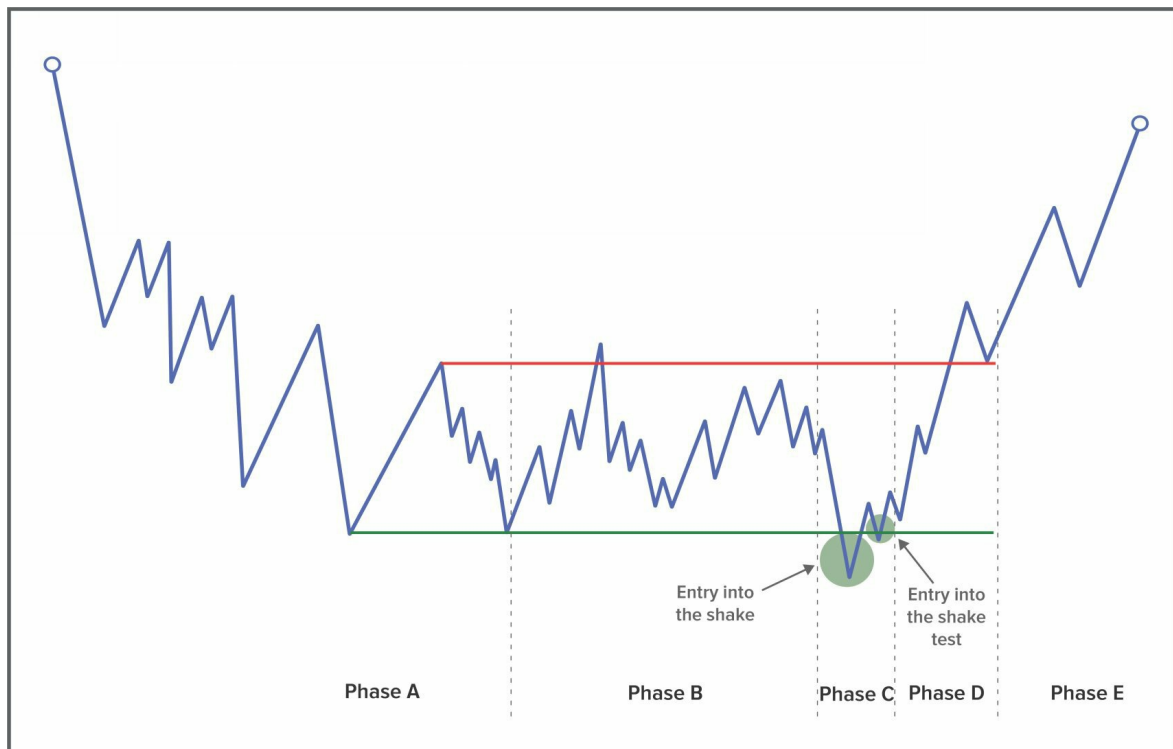
The negative part of entering this location is that they are less precise entries since until that moment the development of the range has had a shorter duration in comparison with the other two operative positions.

Entry into the shake

Only recommended if the shaking is done with a relatively low volume. As we know, high volumes tend to be tested to verify the commitment of those operators, so it is more sensible to wait for a new visit to that area.

With this in mind it would not make much sense to go directly into a shake that has developed with a lot of volume when they are most likely to develop such a test. And normally this test will be able to give us an even better Risk:Reward ratio.

Accumulation Phase C entries



Shakes are easily identifiable as they occur at the ends of the structure. It would not be necessary to monitor the development of the range minute by minute, it would be enough to place some alerts when the price crosses these extremes and we will be in predisposition to operate them.

Entry into the shake test

It's one of every Wyckoff operator's favorite tickets. After the shock, expect a new visit over the area with narrowing ranges and decreasing volume (see Event #4: Test).

One of the important points of this test is that it should be kept and not make a new extreme. In other words, for the example of the Spring test, it should remain above the minimum established by the Spring. For the example of the Upthrust test, it should stay below the maximum set by the Upthrust.

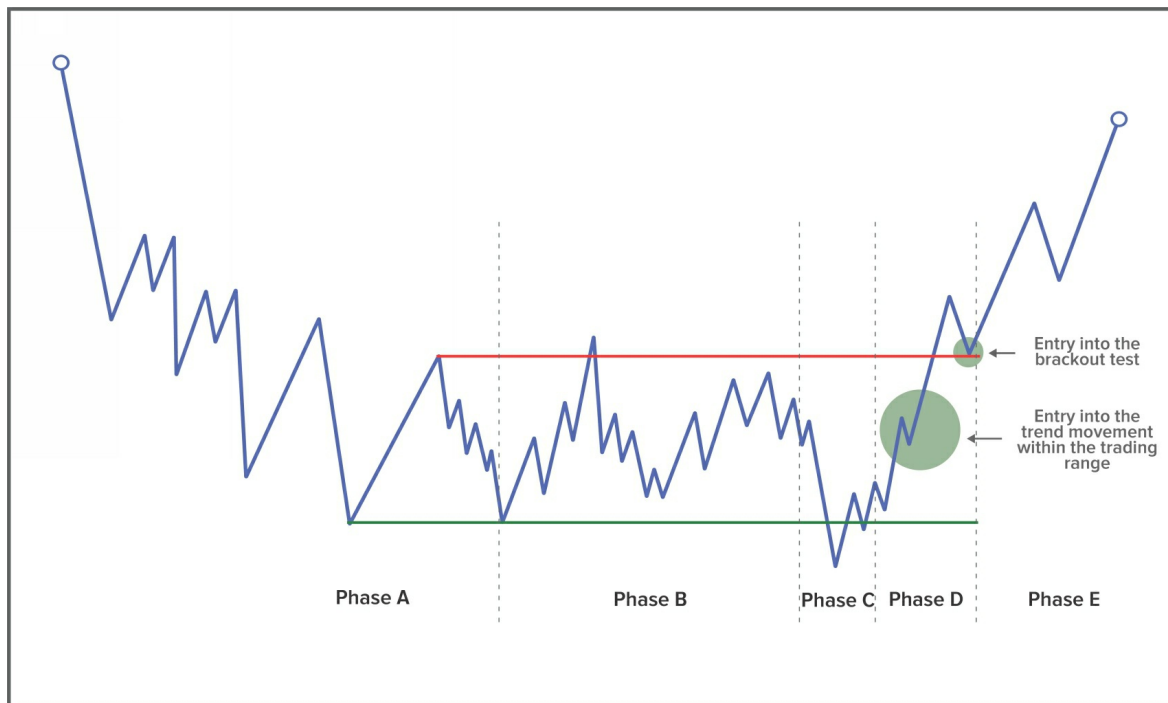
Entry into the Last Point of Support

This type of entry is much more difficult to see since we only know that it is the last point of support after the actual breakage of the structure (Basic accumulation scheme #2)

Phase C can be generated either with a Shake or with this last foothold event (LPS/LPSY). Thanks to the action of the Shake itself (sweeping of a previous liquidity zone at the end of the structure) we know when the structure is developing. This is very different with the last support point, since we cannot know at any time when this event may be developing, being in many cases inoperable.

In Phase D

If the Shake + test are successful, we should now see a sign of intent that will lead to the price in the opposite direction. This is the context we will work with.



In order to benefit from this approach, we have different ways to enter the market.

Accumulation Phase D entries

Entry into the trend movement within the range

During the trip of the price from one end to the other can offer us different possibilities of entry.

With a significant bar

One of them would be to wait for the appearance of new intentional sails (SOS/SOW bar). This is the definitive sign of professional interest. If during the development of that trend movement within the range we observe good trend candles, they are still very interesting opportunities to enter the market.

With minor structure

Another way to incorporate would be to look for some minor structure in favor of the directionality of the shock. For example, if we have just identified a Spring + test, we may be able to go down in the middle of the structure to look for a minor structure of reaccumulation that would give us the trigger to buy. In the bearish example, if we identify an Upthrust + test,

we could go down in temporality from there and look for minor redistribution structures to go up in the bearish trend movement.

With a minor Shake

Finally, in this area of the structure we could also look for minor shaking. They are called minor because they do not occur over the entire ends of the structure. This is another very good way to enter in case you do not want to go down in time and look for a minor structure. Actually, the pattern of the minor shock and the minor structure is the same, although the minor structure would offer a better Risk:Reward ratio.

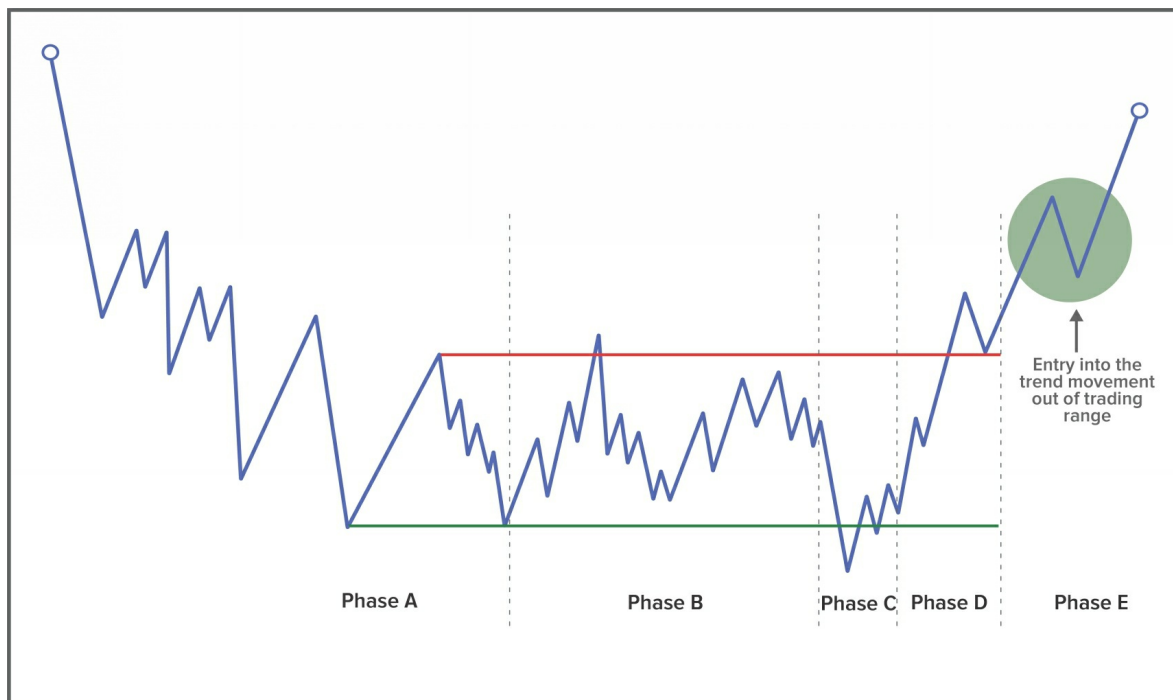
Both minor structures and minor shocks should be labeled as the last support point (LPS/LPSY) since they are turns in favor of the tendential movement that occurs within the structure.

Entry into the break test (Confirmation Event No. 7)

As we discussed in the chapter dealing with this event, it was Richard Wyckoff's favorite operating position because of everything the chart could tell him up to that point.

The potential for establishing profit taking is less, but instead we have on the left all the development of the structure, which gives us a greater probability that we will position ourselves along with the great professionals and in favor of the least resistance.

In Phase E



Accumulation Phase E entries

After the confirmation that we are facing an effective break and imminent start of the out-of-range trend movement, we must now focus on looking for operational opportunities in favour of the preceding accumulation/distribution.

This type of operations are the most "secure" since we are positioned in favor of the last accumulation or distribution. However, the disadvantage is that the potential path is smaller, although it will depend on the amount of cause that has been built up during the structure.

Entry into the out-of-range trend movement

As with the operations in the Phase D trend environment, we can assess different possibilities for entering the market:

With a significant bar

Sometimes the market will move in a very volatile environment and this speed is likely to leave us with no possibility of entering the market if we are waiting for the perfect entry.

To try to mitigate this, we could enter in favour of movement simply after the appearance of new intentionality candles (SOS/SOW bar).

There are quite a few signals in favour of such a move, so a new appearance of this type of candle that indicates professional intervention may be the perfect excuse to place our orders in the market.

Entry with minor structures

If the main structure that we have previously identified is in a time frame of 4 hours or 1 day, it could be interesting to go down to a time frame of 1 hour or less to look there for the development of a smaller structure that would allow us to incorporate in favour of the trend movement.

This means that if we have a macro structure of accumulation underneath, the most interesting thing to do in order to go up to the upward movement would be to go down in temporality and look for a minor structure of reaccumulation.

Similarly, if what the market shows is a main distribution structure above the current price, the most advisable thing to do would be to go down in time and look for a minor redistribution structure.

Entry with a shake

It should be treated exactly the same as the Shake entry in Phase C. It is the same event with the only difference being the location where it takes place.

The methodology distinguishes these Shake events depending on the location. When they occur in the middle of the favorable trend movement it is called Ordinary Shakeout and Ordinary Upthrust.

In addition to the difference in location, these types of shocks may appear with less preparation of the continuation structure (reaccumulation or redistribution) because the market is already in motion.

As we have mentioned, the operation in Phase E would be the safest between quotes because we are positioning ourselves in favour of the last accumulation or distribution already confirmed. And we know that until at least the first events of a Phase A stop of the previous trend are developed, the most logical thing is to think about a continuity of the current movement.

Direction	Phase C			Phase D		Phase E
	At the shake	At the shake test	At the last support point	At the trend movement within the trading range	At the break test	At the trend movement out of trading range
Buy	Spring #3	Spring test #1 & #2	Last Point of Support	• Sign Of Strength bar • minor structure of reaccumulation • minor Spring	Last Point of Support Candlestick test "No Supply"	• Sign Of Strength bar • minor structure of reaccumulation • Ordinary Shakeout
Sell	Upthrust without volume	Upthrust test	Last Point of Supply	• Sign Of Weakness bar • minor structure of redistribution • minor Upthrust	Last Point of Supply Candlestick test "No Demand"	• Sign Of Weakness bar • minor structure of redistribution • Ordinary Upthrust

Summary table of trading opportunities

Summary table of trading opportunities

Chapter 27 - Decision-making

Everything studied so far has had the sole objective of preparing us to arrive in the best conditions at the critical moment of every trader: the final decision making.

Once we have identified the areas we are going to wait for the price and the possible scenarios we want to see before taking action, we are going to detail in depth some concepts more typical of the operation.

The main objective of internalizing this type of concept is to incorporate a certain objectivity in the reading of the graphs and, more importantly, in our operations.

The concept of the significant bar

It is difficult to determine when the price will make a market turn in the short term. The easiest way to determine it is through confirmation: confirmation that a trade has been completed.

It is a matter of identifying the presence of the institutions in the short term that enter to force that turn in the price. An example of this type of bar is those previously presented as SOSbar (Sign of Strength Bar) and SOWbar (Sign of Weakness Bar)

The characteristic of a significant bar is:

- Relatively wider range than the range of previous sails.
- A volume operated according to that total range, i.e. higher.
- Close in the middle of the total range of the bar in the direction of the current movement.
 - For a significant bullish bar close in the upper half of its range.
 - For a significant bearish bar close in the lower half of its range.
- Commitment in the direction of the current movement.
 - For a significant bullish bar the bar's close must be above some previous resistance level.

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For a significant bearish bar the bar's close should be below a previous support level.

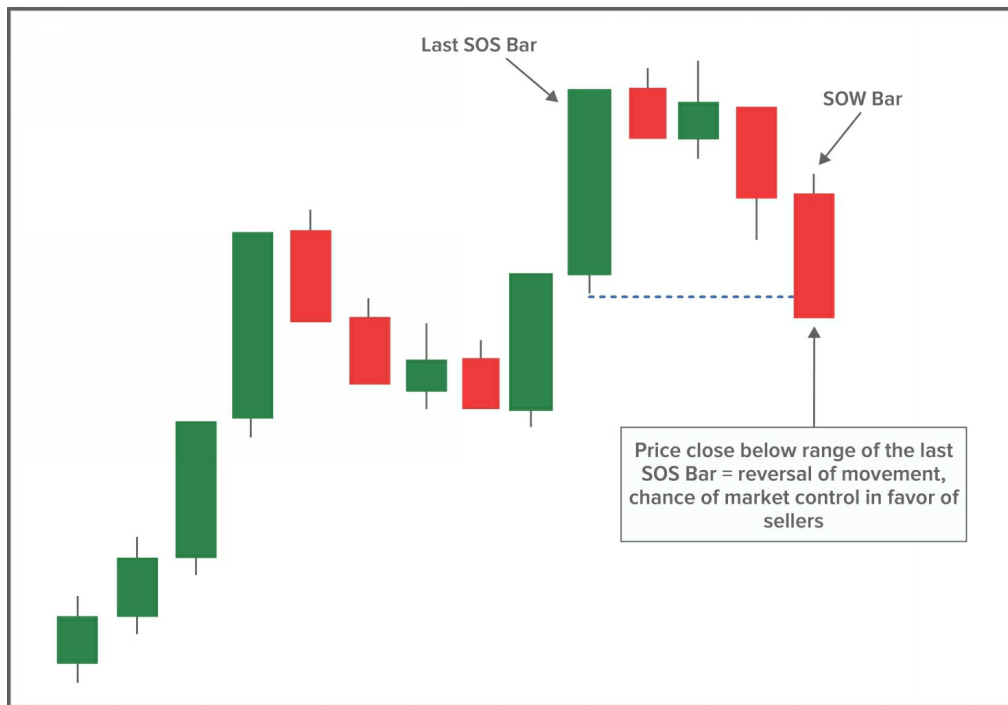
A bar with these characteristics denotes intent and will generally be associated with institutional presence. Since we assume institutional presence, we expect the price to continue to move in that direction.

If the price does not clearly develop a significant bar, we can mark two normal bars and build with them a significant bar using the same characteristics.

It is highly recommended to use this concept of significant bar to try to identify the turns of the market.

The concept of reversal of movement

Determining the end of a longer movement is not easy. The goal is to identify as early as possible the point at which the beginning of a movement in the opposite direction is likely to occur.



Example of change of market control from bullish to bearish

The first thing to do is to identify the last significant bar of the movement in which the price currently stands. And let's assume that this marks the current market control since the probability is that the price will continue in that direction (in the direction of whoever has control of the market).

That is, if the price is in the middle of a rising movement and above a significant rising bar, we will assume that the buyers have control of the market; and conversely, if the price is in the middle of a falling movement and below a significant falling bar, we will say that the sellers have control of the market.

With the appearance of new significant bars in favor of the movement, the control of the market will continue to shift, anchoring itself to those new significant bars.

The key is that we will determine that the control of the market has been turned around when the price breaks the last significant bar that marks the control of the market with another significant bar of inverse intentionality to the current movement.

To do this, we mark the ends of the total range of that last significant bar and a close in the opposite direction would alert us to a possible reversal of the

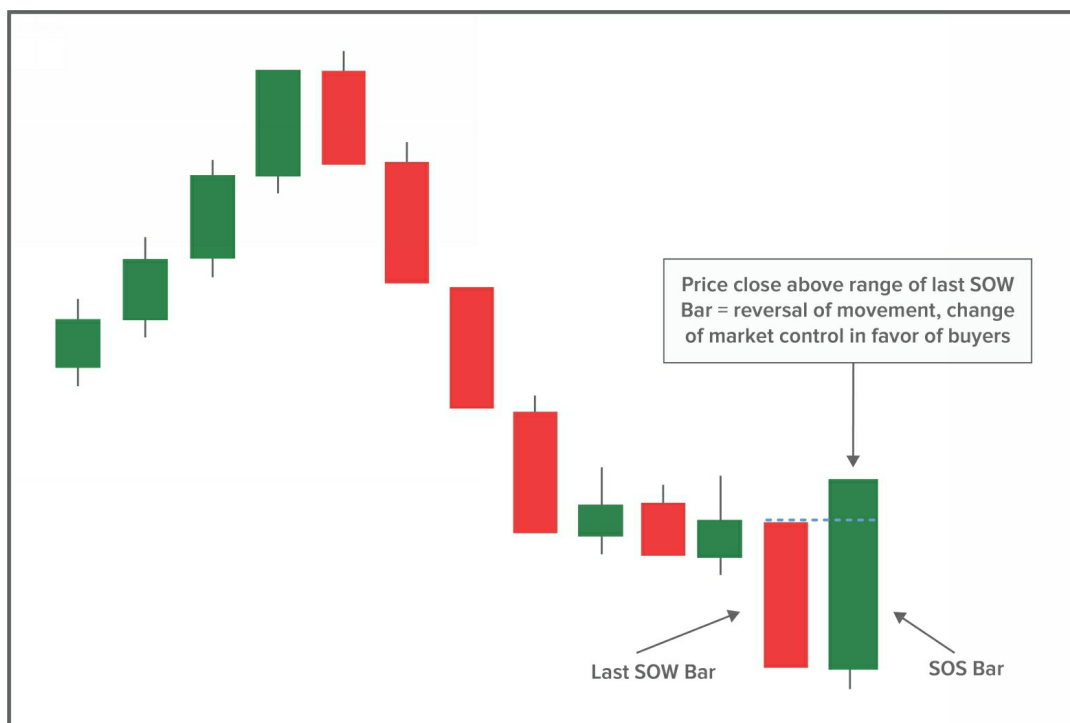
movement:

- To determine the end of a rising movement and possible beginning of another falling one we need to see that a falling reversal bar closes below the minimum of the rising significant bar that until then marked the buyers' control.
- To determine the end of a downward movement and possible beginning of an upward one we need to see that a bullish reversal bar closes above the maximum of the significant downward bar that until then marked the control of the sellers.

This concept of movement reversals is very important because when we observe a change in character, we will probably see those reversal bars.

After the Selling Climax we will probably see that upward reversal bar. And once the upward movement has started, we will probably see that downward reversal bar that will alert us to the end of the Automatic Rally. And so on with

Example of change of market control from bearish to bullish



events in the range.

all the

Position Management

We will now look at how to get in and out of the market. I strongly recommend sending all 3 position orders (entry, stop loss and take profit) at the same time to avoid potential electronic and emotional problems later.

It may be that in case of executing only the entry order and the price goes against us, we do not have the emotional capacity to place the stop loss where it would be initially. We could tremble at the point or even convince ourselves that that first location was too close and that the right thing to do would be to move it further away. We would simply be looking for a justification for not facing the reality of assuming a loss. The end result in most cases will be a higher than expected loss.

We could also suffer in that period of time some kind of electronic problem like an unexpected disconnection from the broker. That must be a very uncomfortable situation since you would find yourself with an open position and without any protection for it.

To avoid this kind of contingency, there is no reason not to launch the 3 orders directly. If the analysis is accurate, both the entry, stop loss and take profit will be perfectly identified before entering the market.

Calculate the size of the position

A very useful way to carry out proper risk management is to calculate the size of the position based on the distance between the entry level and the stop loss level.

In particular, I work with fixed position risk based on account size. This means that for each position a percentage of the total size deposited with the broker will be risked. It is recommended that this percentage does not exceed 1%.

To understand this well, the distance between the entry level and the stop loss level will determine the percentage of risk in the operation (for example, 1%). From there, the distance at which we locate the take profit will determine the ratio R:R (Risk:Reward) that will offer us that operation.

- A 1% of a 5000\$ account is 50\$. If our trade offers us a ratio of 1:3, with this type of management the possible monetary results

would be: gain 150\$ or lose 50\$.

Depending on the type of trade, it is generally not recommended to take trades that have a negative R:R ratio; that is, the risk is greater than the reward.

The issue of position management is very broad and complex. I only wanted to leave this small point because it will be enough to carry out a more solid operation. I recommend looking for other readings where this section is more in-depth, as it is very worthwhile.

Entry

I return to the concepts previously studied because they will be very important for our trading: If we are after the downward breakage of the structure and the price is developing the upward movement that will develop the test after the breakage (potential LPSY), the appearance of a significant downward wing on the appropriate area (Ice) that closes below the minimum of the last significant upward wing could provide us with a good trading opportunity.

This is exactly what we will be looking for as an entry trigger before placing orders. In the background it is the appearance in the short term of a strong volume (interest) that causes the development of a large intentionality candle (significant bar, SOS/SOW bar). We are at the right time and place.



Types of buy orders to be placed

In view of the appearance of this expected event, we have no choice but to launch our orders to enter the market. Nowadays the platforms offer us different ways to do it:

- **Market orders.** It allows us to enter the market aggressively on the last cross price.
- **Stop orders.** It allows us to enter the market in a passive way in favor of the movement.
- **Limit orders.** Allows us to passively enter the market against the movement.



Types of sell orders to be placed

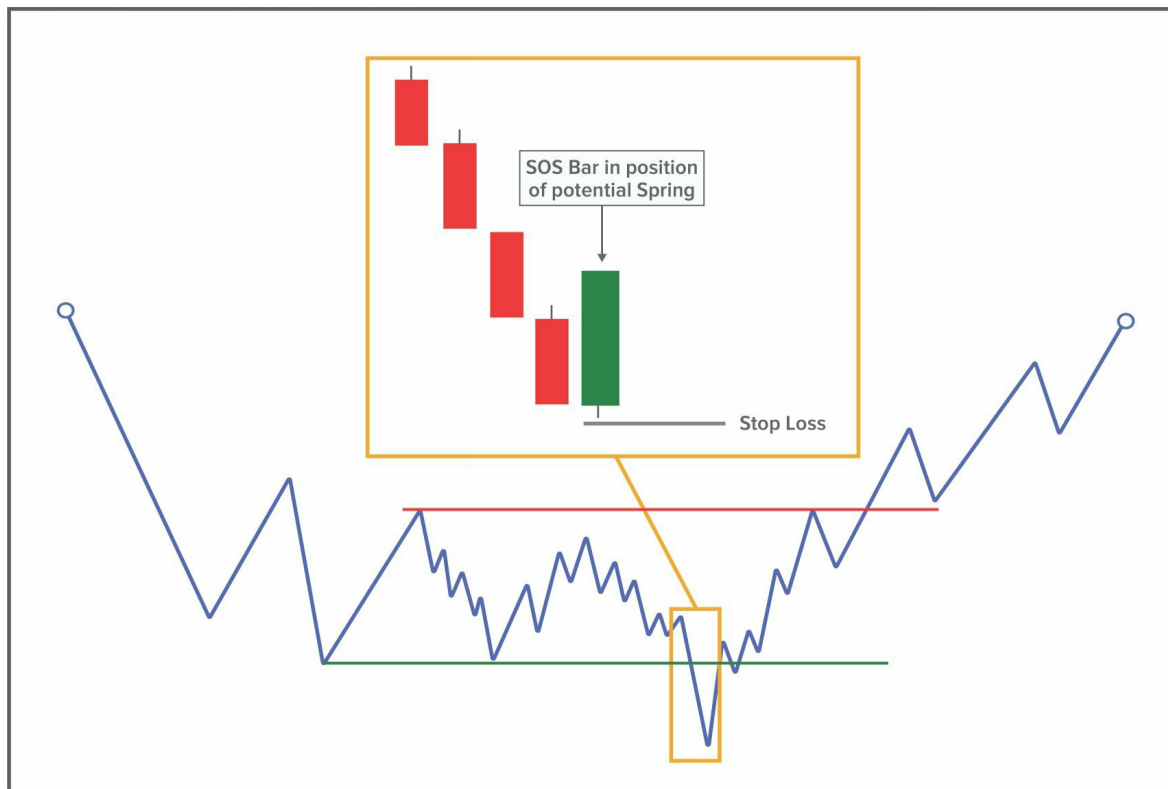
At this point I would like to emphasize again the importance of quantifying our entry trigger. As we see, there are many ways to enter the market, and each of them will have a different performance on the strategy. My recommendation is that you acquire the knowledge to perform a robust backtesting process in order to obtain the statistics that will provide us with objective results. This way we can compare the performance of the different ways we analyze to enter.

Stop Loss

The idea is to place the Stop Loss at the point where, if reached, the proposed scenario would be invalidated.

When placing the stop loss, we have to take into account what type of entry we are facing. As a general rule, we will place the stop loss on the other side of the direction in which the significant bar (SOS/SOWbar) has developed, and on the other side of the whole scenario.

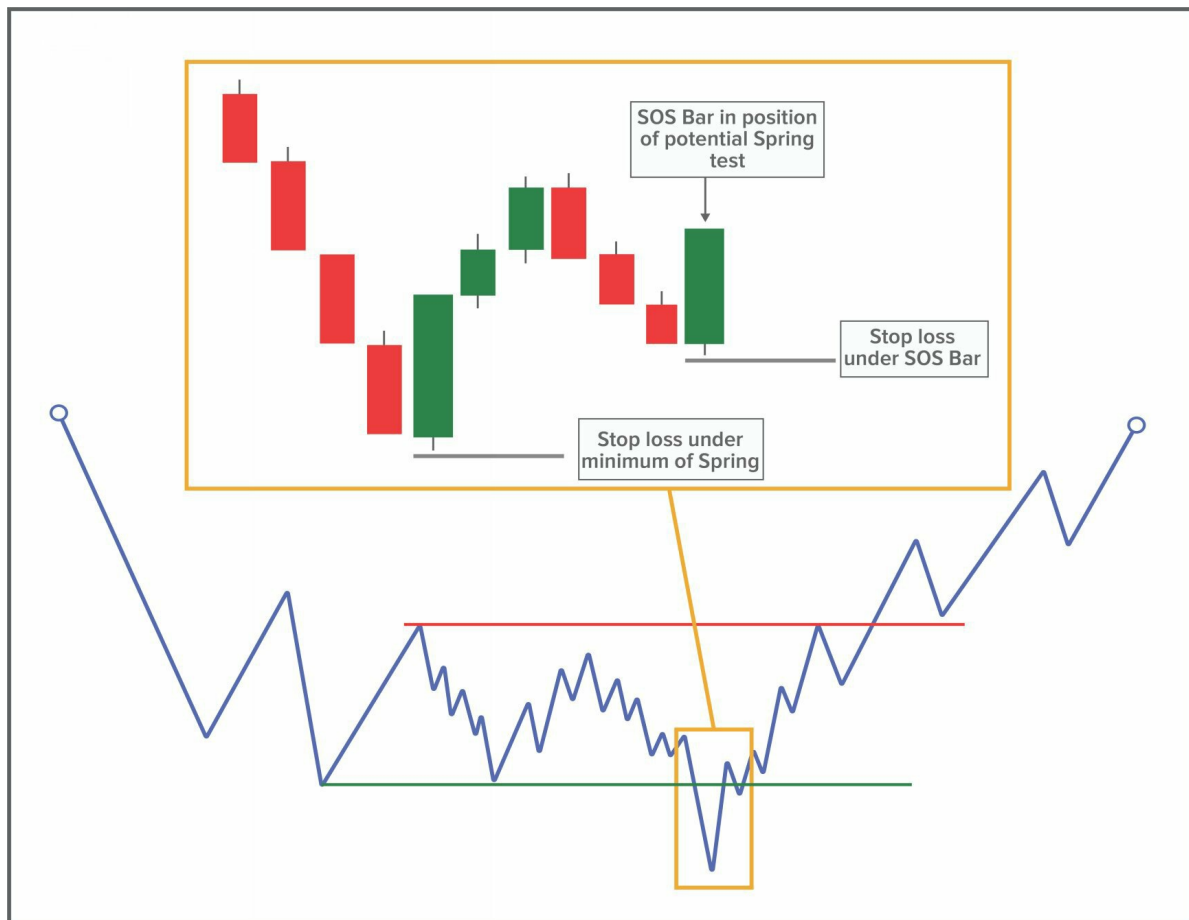
Placement of the Stop Loss in direct entry to the Spring



For entries directly into the shake, the stop loss should be located on the other side of the end:

- On a Spring, the stop should be below the minimum.
- On an Upthrust, the stop should be above the maximum.

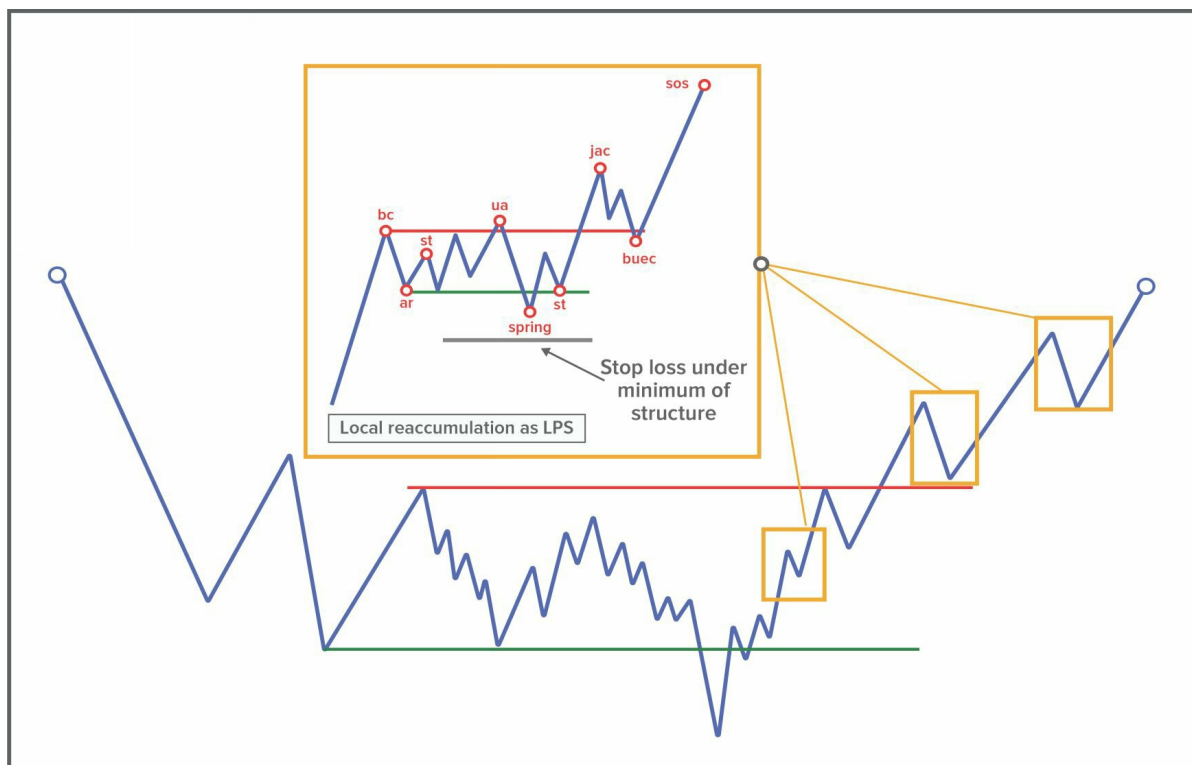
Placement of the Stop Loss at the entrance of the Spring test



For entries in the shake test, we have two possible locations. One would be on the other side of the significant bar and the other would be at the end of the entire stage:

- In the Spring test, the stop would be either below the SOSbar or below the minimum Spring.
- In the Upthrust test, the stop could be either above the SOWbar or above the maximum Upthrust.

Placement of the Stop Loss at the entrance with a minor structure of reaccumulation



For inputs with a smaller structure it is best to place the stop loss at the end of the whole scenario:

- In minor reaccumulation structures, below the minimum of the structure.
- In minor redistribution structures, above the maximum of the structure.

Placement of the Stop Loss at the entrance to the test after breakout



For entries to the break test, the stop loss would be far from the broken level and the significant bar in case we have used it as an entry trigger:

- In the breakout test (BUEC/LPS), the stop should be below the SOSbar and below the broken Creek.
- In the breakdown test (FTI/LPSY), the stop should be above the SOWbar and above the broken Ice.

Trailing Stop

Another way of managing the position is by using the trailing stop, which is based on changing the location of the stop loss as the price moves in our favour.

Although it may be a good idea, I particularly do not use them since due to their very nature, they do not leave much room for the price to move and as a consequence stop losses are easily reached.

In any case it is a matter of testing and quantifying whether or not our strategy improves performance by incorporating this type of management.

Take Profit

Originally the Wyckoff methodology used point and figure charts to determine potential price targets.

We understand that the structure of the market today has changed too much to continue using that tool and therefore, operationally it seems much more useful to employ others.

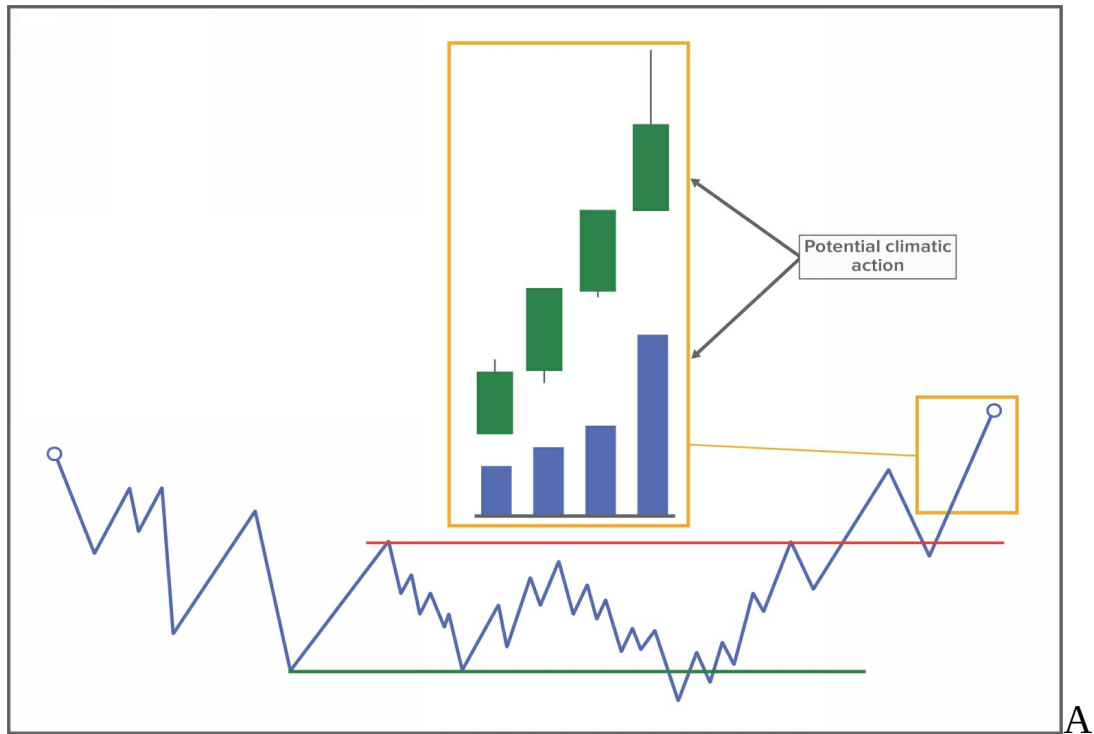
Based on the pure analysis of the Wyckoff methodology, we will list the possible actions that we can use to take profit:

- **For evidence of climatic bar** (Buying Climax/Selling Climax) which will show high range, speed and volume. It would be an attempt to anticipate the stop of the previous trend, but it could be a sufficient signal to close the position or at least to reduce it.

It is a great way to exit the market when there is no price action to the left (at market extremes).

That lack of reference makes us go a little "blind" producing some operational inability. It is now more than ever that we must know how to listen to what the price and volume tell us.

Profit taking on potential Buying Climax



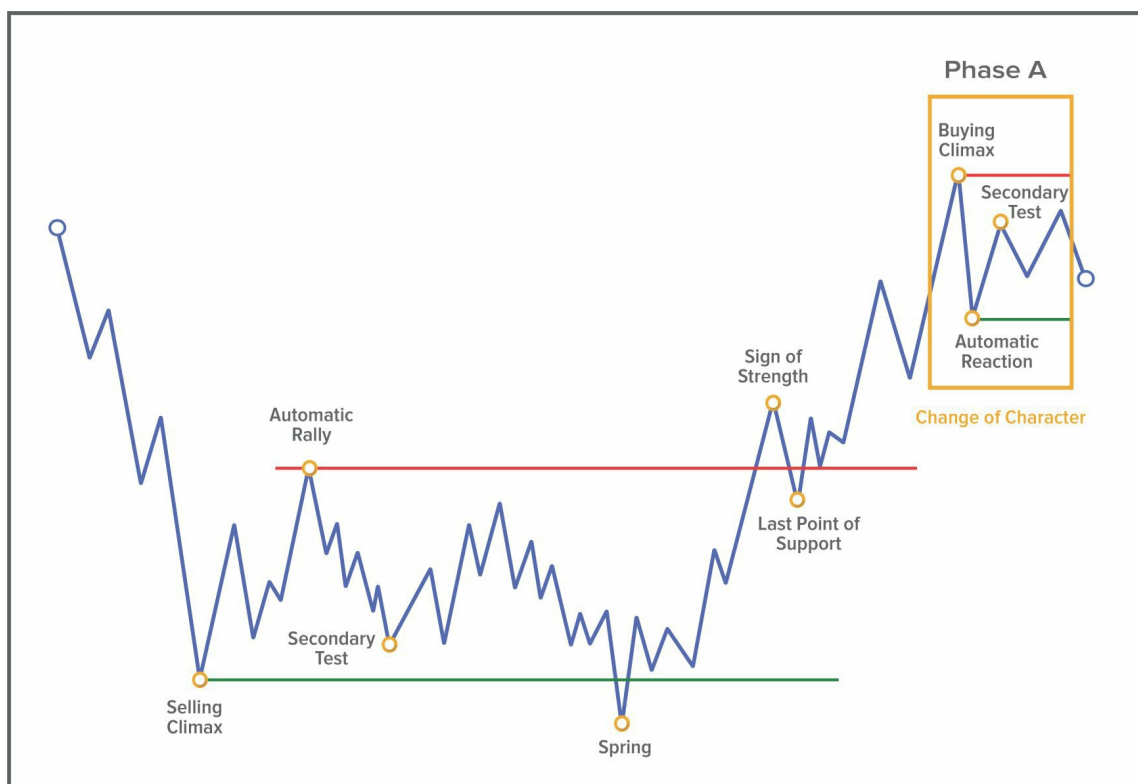
climatic volume at one end of the market is sufficient reason to abandon the position.

- **After the development of Phase A of stopping the previous trend.** The development of the first four events that delimit the appearance of Phase A will be sufficient reason to understand that the previous trend has ended and we must close our position.

Later the trend could resume in the same direction, but we cannot know this at that moment, so the most sensible thing would be to take profits.

It is important to note that the new structure should be developed within the time frame in which we have identified the previous structure.

Profit taking after the development of a potential Phase A



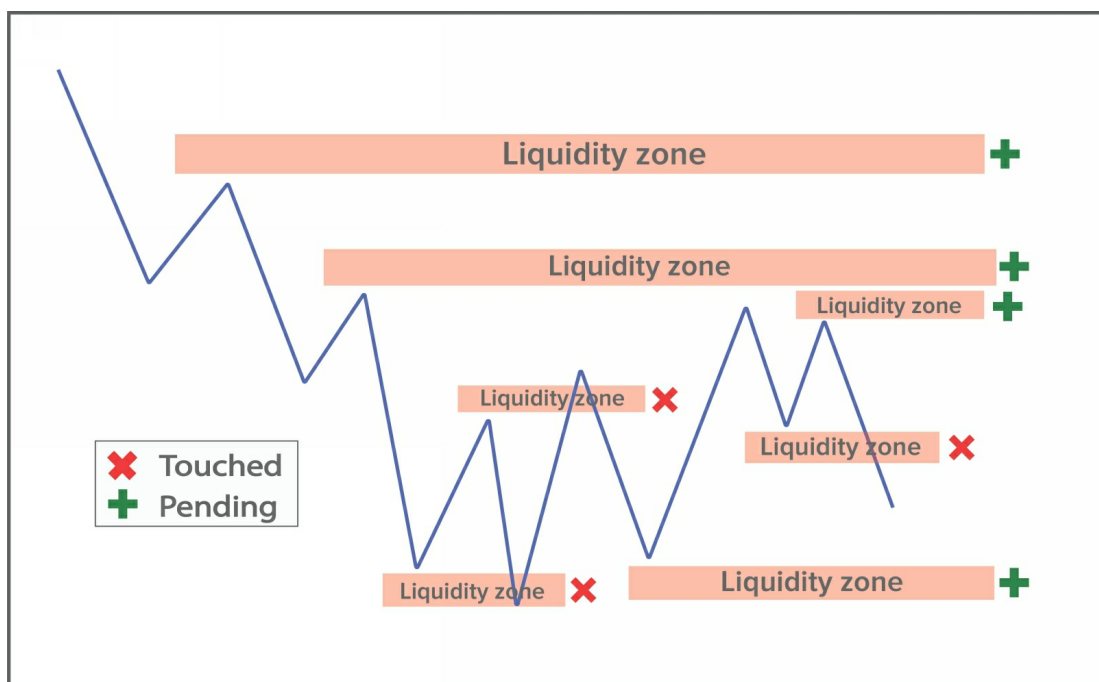
Also, remember to put into practice the concepts of significant bar and motion reversal to more confidently identify the end of such events.

In addition to these possibilities, as we have previously discussed, we may want to use volume operating zones to locate our take profit orders. In this case, we will use:

- **Liquidity zones.** These are price turns; previous highs and lows. We know that in these zones there are always a lot of orders waiting to be executed and that is why they are very interesting zones to wait for the price to come in.

Some examples are the zones established by the structures: the minimums of the Selling Climax (in the accumulative structures) and the Automatic Reaction (in the distributive structures); and the maximums of the Buying Climax and the Automatic Rally.

Establishment of the liquidity zones



Another example of liquidity zones to take into account as an objective of our operations are the previous liquidity zones (which are independent of the structures), both in our operational time frame and in higher ones.

The best way to take advantage of this reading is to identify the liquidity zones in the higher time frames and set them as targets. From there, use the structures developed by the price to enter the market with those price levels in mind.

We must take into account that the market is constantly changing and will continue to generate new price turns (new areas of liquidity) so our objectives would have to be adapted to this new market information. That is, if we had originally established the profit taking in a distant liquidity zone, and in the development of the movement the price generates a new zone of liquidity closer, this should now also be taken into account.

- **Volume Profile levels.** The Volume Profile is a discipline based on a sophisticated tool that analyzes traded volume by price levels and identifies those that have generated the most and least interest. There are different types of profiles (session, range and composite) as well as different levels, the most prominent being
 - **VPOC.** Volume Point Of Control. Determines the most

traded level of the profile and therefore identifies the price with greater acceptance by both buyers and sellers. The logic behind this volume level is that, as it has previously been a level where both buyers and sellers have been comfortable crossing their contracts, it is very likely that in the future it will continue to have the same perception for all participants, causing a certain magnetism towards it.

Therefore, it will be advisable to have well identified the VPOCs of the previous sessions, the one of the current session, as well as the Naked VPOCs (old VPOCs that have not been tested again).

- **VWAP.** Volume Weighted Average Price. Determines the volume-weighted average price at which a security was traded during the selected period. Being a reference level for institutional traders means that there is always a large amount of pending orders on it, and we already know that these orders act as a price magnet.

You can select the VWAP of the time period that best suits our operations. In general, the session VWAP will be more useful for intraday traders; the highest reference levels being the weekly and monthly VWAP.

Within the Volume Profile there are other levels that could be taken into account for the analysis, like the volume nodes (High and Low Volume Node) and the value areas (Value Area High and Low); but the above mentioned are undoubtedly the most interesting ones for the operative. In any case, I recommend the in-depth study of this discipline since it is one of the best tools to enhance discretionary analysis.

It is also important to note that these volume operating areas are not only recommended to be taken into account for profit taking. As they are so relevant in the current operative, the most sensible thing is to have them identified at all times and to be able to take advantage of them also for entering the market and for the location of the stop loss.

A confluence of levels that would add solidity to the scenario would be, for example, to go short in a potential LPSY (after the bearish breakout of the structure) and that on the appropriate zone (context) our trigger candle (SOWbar) is developed whose range reaches in its superior part some level of volume (VPOC/VWAP) denoting a rejection to continue rising. You could enter at the end of the development of that significant downward wing and place the stop loss above the SOWbar, above the broken Ice and above the rejected volume level. As a goal we could look for some of the possibilities proposed above.

Part 8 - Case Studies

Once the theoretical aspect of the methodology has been addressed, we will move on to analyse some real examples.

The basic structures studied serve as a reference to know approximately what to expect from the price; but the market by its very nature needs to move with a certain freedom. This is another of the strengths of the methodology with respect to other approaches, and that is that it combines the rigidity that events and phases provide with the flexibility required by the continuous interaction between supply and demand.

The point to highlight is that, although in the real market we are going to see many structures that are practically the same as the theoretical examples, this interaction between buyers and sellers is going to make each structure unique. It is practically impossible for two identical structures to be developed since this would require that the same operators who developed both structures be in the market at the same time and that they act in the same way. Mission impossible.

In case there is still any doubt about it, to say that the Wyckoff methodology is not only about correctly identifying the occurrence of events. The study of the entire theoretical section is an indispensable condition for solidifying the bases with the objective of developing judicious analyses and scenario proposals; but the approach goes much further. In the real operation we will find examples of structures and unusual movements that we will have to know how to interpret correctly; and it is that as you advance each time you will have a smaller necessity of for example labeling all and each one of the actions since its identification will be instantaneous.

If, for example, we see a graph like the following one, where it seems difficult to label the structure correctly, that is not what is relevant; what is relevant is, if we manage to open this graph at the point I am pointing out, to have enough capacity to interpret this fluctuation as an accumulation structure and to be able

Example of unusual structure



look for the incorporation in length.

That is where the real advantage of the Wyckoff methodology lies; it teaches us a way of reading the market from as objective a point of view as possible. Therefore, it is not a matter of identifying structures, events and phases to the millimeter as if we were robots.

Below we will see examples in different assets and time frames. It is important to note that when analyzing the assets we must do it on a centralized market so that the volume data is as genuine as possible. For the analyses I have used the TradingView platform.

Example of reaccumulation on SP500



Index (\$ES)

On the weekly chart we see a classic reaccumulation structure with a shock.

This is a very good example to see the visual representation of what a Buying Exhaustion is. We see how the upward movement comes to an end without a volume peak that would identify the weather event. With the Automatic Reaction and the Secondary Test the Phase A stop would be completed.

During Phase B we already see a certain background strength in developing this test at maximums (Upthrust Action). Action that originates the test event in Phase C (Shakeout) with a relatively high volume. In this first part of Phase B we can see how the volume in general decreases, a sign that there is an absorption of stock by the buyers.

The upward reaction is unquestionable and leaves a new test at maximums that fails to produce the effective breakage of the structure (minor Sign of Strength). A small downward movement is necessary (Last Point of Support) before facing a new attempt to break upwards. On this second occasion they manage to develop it (Major Sign of Strength) and the subsequent test (Last Point of Support) confirms that we are indeed facing a reaccumulation.

Very interesting how the price has initiated the trend movement out of the range in Phase E with a decrease in volume. This could suggest some kind of anomaly/divergence, but the supply/demand reasoning is clear: due to the absence of supply (there are few traders willing to sell), with very little

demand buyers are able to push the price up.

Example of reaccumulation in GBP/USD



Pound/Dollar cross (\$6B)

Another bullish cross has formed on the 8-hour chart's Slow Stochastic, which means there is no sign of a major upward movement. As we mentioned before, these are difficult to trade as we will almost always be expecting at least some minor jolt from the inside of the structure.

We see another example of Buying Exhaustion after the appearance of a strong volume on the Preliminary Supply. This is one of the reasons why such exhaustion appears; and it is that if previously positions have been liquidated in an aggressive way, with little volume this turn will take place in maximums.

From the PSY's volume peak we see a decrease in volume until the beginning of the trend movement within the range after the Last Point of Support, suggesting absorption. Very visual also how the volume traded in the downward waves decreases denoting a loss of selling momentum.

Already in Phase D, we see an increase in volume and again very visually the rising Weis waves indicating this imbalance in favor of buyers. We have gone from a predominance of bearish waves to this appearance of bullish waves.

An important detail is the incorporation of the volume profile of the structure (horizontal volume that is anchored to the right of the chart) and how the VPOC of the structure (the most traded volume level) serves as a support to

give rise to the LPS.

After the Jump Across the Creek event, the price develops a minor reaccumulation scheme based on confirmation (Back Up to the Edge of the Creek) with a clear decrease in volume, suggesting a lack of interest from sellers.

In this graph we observe another very interesting element and it is that those big operators that were buying during the development of this structure took advantage of a fundamental event (in this case the negotiations for the BREXIT) to develop an enormous bullish gap as an effect of all this cause. This is not a coincidence and you will be able to see it in more occasions.

Example of distribution in EUR/USD



Euro/Dollar cross (\$6E)

Basic distribution scheme without shaking. Here we see a clear example of the importance of context, in which the smaller structures fit into the larger ones.

After Phase A which stops the upward trend movement, the price starts Phase B during which a smaller structure develops inside it. The events of a distributive structure are clearly identified and how the minor UTAD (shake to relative highs within the range) gives rise to the downward trend movement of both the minor and the major structures.

We see how the VPOC of the structure's profile acts as resistance in the development of that UTAD minor, blocking further rises in the price.

After the Major Sign of Weakness, a brief upward reversal (Last Point of Supply) serves as a distribution confirmation test and gives rise to Phase E where the price quickly develops the downward movement out of range.

During the creation of the structure the overall volume remains relatively high, trace of the distribution ranges. In addition, Weis waves show the loss of momentum in the upward movement and an increase in the downward movement, being very noticeable in the last stages of the structure.

Example of accumulation in Bitcoin



As you know, reading under the Wyckoff methodology approach is universal and here we see a clear example of the Bitcoin graph.

Again we see a classic accumulation structure this time with a minor jolt as a test event in Phase C.

After the four stop events, during its development we see a decrease in the overall volume. First absorption signal and possible control of the buyers.

Although I have labelled the test at minimums in Phase B as a simple test in terms of sample weakness (ST as SOW), it could also have been seen as the Phase C Spring. The reasoning that has led me to do it this way is that the genuine Spring is automatically followed by the breaking movement, and as we see in this example, after that potential Spring the price is left lateralizing in the middle of the structure developing a minor scheme. But as I say, these are minor appreciations. The key will always be in determining where the final imbalance is occurring.

As I say, after that test in B, the price starts a minor structure right in the middle of the range, continuously interacting with the VPOC. It is in that minor structure that I consider Phase C to be occurring with that Shakeout that shakes off minor minima (minima within the structure). This is another good example of the importance of context. A minor structure of re-accumulation as a function of the Last Point of Support of the major one.

Here we can see how this shakeout does start the breaking movement almost immediately with that Major Sign of Strength. Later, the Back Up to the broken Creek confirms the accumulation structure with the appearance of a good SOSbar and starts the E Phase.

If we make a pure analysis of price and volume, we can see how it indicates harmony both in the breaking movement (price increase accompanied by volume increase) and in the retreat movement (price and volume decrease).

Already in Phase E we evaluate the trend and observe a certain loss of momentum evidenced by a new price momentum but with a lower volume. This does not mean that the price will turn around immediately; it is simply a footprint that suggests that there are fewer buyers willing to continue buying.

We could therefore expect some sort of more far-reaching reversal, but we have to bear in mind that the general context is that we have a bottom-up accumulation and that until the price develops a similar distribution structure we should continue to favour purchases.

Example of distribution in Inditex



(ITX)

Inditex is a Spanish textile company. In this example we see a classic distribution structure with a jolt on the 2-hour chart.

After the appearance of the climatic volume on the Buying Climax, the price develops an Automatic Reaction that is observed very visually by the Weis Wave indicator producing a very evident change of character (CHoCH).

Although it is true that there are certain moments of low activity in the general volume, certain peaks are observed throughout the development, mainly in the Minor Sign of Weakness and after the Upthrust After Distribution.

It is worth noting how the upward movement (UTAD) is carried out with a relatively low volume, pointing out the absence of interest to be quoted in those prices. The price produces an aggressive re-entry in the range that is stopped in the VPOC of the structure profile. A new bullish attempt is blocked by the sellers just in the high zone that establishes the maximum CB. This is the Last Point of Supply. A subsequent downward gap announces the aggressiveness of the sellers. The imbalance in favor of the bearishs has already materialized and the urgency to exit is evident.

In the Major Sign of Weakness movement the new change in character is observed but this time to announce the imbalance in favor of sellers. As always, very visual the Weis waves.

The subsequent upward movement with a decrease in volume would leave the last support point of the offer (LPSY) to start from there the trend movement out of the range in Phase E.

It seems to be a coincidence that this LPSY is produced in the lower part of the structure, in the broken Ice that establishes the minimum of Automatic Reaction; but it is not a coincidence, the markets generally have very identifiable operating zones and sometimes they leave us with very genuine structures as this example is.



Example of market cycle in Google

Google

(GOOGL)

With Google we can study how the complete development of a price cycle with a distribution phase, downward trend, accumulation phase and upward trend is represented.

It is a graph that is already more complex to analyze but we can clearly see how the market moves; how it develops a distribution scheme as a cause of the subsequent downward trend; and how they need to make an accumulation campaign before starting the upward trend phase.

To be highlighted in the distributive structure is that test in Phase B that denotes weakness (minor Sign of Weakness), suggesting the possible imbalance in favor of the sellers, and how the Phase C event is a local shock at a relative maximum within the range. The reading is that buyers are so absent that they do not even have the capacity to drive the price to the top of the range. After the effective bearish break (Major Sign of Weakness) we can see the generation of a new minor redistributive scheme whose shock will test just the zone of the Ice of the major broken structure. Another new example of the importance of context, where the minor structures fit within the major ones.

In the lower part of the graph we analyze the cumulative scheme and again it seems to have been taken out of a book because the genuineness of its movements is fascinating. After the Spring in Phase C, the price fails to break

the high part at first, leaving such a movement labeled as minor Sign of Strength. It requires a backward movement in which the price "takes a run" to jump the creek, recalling Evans' analogy with the Boy Scout. After the effective upward break (Jump Across the Creek), the price retreats to the zone and is refused to re-enter for up to two times before starting the out-of-range trend movement. This is a very good example of the importance of not re-entering the range. Buyers appear right in the critical zone to keep pushing the price.

Example of Accumulation and Minor Structures in AUD/USD



Australian Dollar/US Dollar cross (\$6A)

In this last example we are going to analyze a graph in temporality of 15 minutes. As already mentioned, this type of analysis does not know about time frames. It is a universal approach since it is based on the universal law of supply and demand. It is a perfect capture to exemplify what we understand by market fractality, where price develops the same structures although in different ways over all time frames.

On the left we see that the beginning of the cumulative campaign is born with a minor structure of redistribution in function of preliminary stop (Preliminary Support). In this case, this scheme is developed with a slight upward slope. Although they are not easy to see, this type of structure is also operable since, as we see, the events appear in the same way. The only thing to take into account is that the slope of the structure will indicate if the market has greater strength or weakness in the background. In this example we already see how that upward slope suggested a certain strength.

After the stop of the downward movement, we see a reduction of the volume during Phase B and a genuine Spring + test as Phase C. Classic development of the accumulative schematics.

Once the range is broken, the price manages to stay above it and creates a minor structure of reaccumulation with a shock that reaches the broken area, depending on the BUEC of the major structure. Very visual how the volume

suggests a certain harmony at all times, being observed in increase on the impulsive movements and in decrease on the corrective ones.

Already during Phase E the market generates a new structure of reaccumulation with a new shakeout that serves to continue the price rise.

Making a correct reading in real time is complicated but we have to rely on all these signals to try to determine as objectively as possible who is in control. Context, structures and operational areas.

Thank you for buying this book!

Congratulations. With this book you have taken the first step towards a successful career as a trader. I'd love to hear your opinion after you read it. I invite you to leave a rating in the Amazon reviews.

The content is dense and full of nuances. It is very difficult to acquire all the knowledge with a simple reading, so I recommend you to make a new study as well as personal notes for a better understanding.

But it doesn't end there. The book is too extensive but I left out many interesting things to tell you. I am currently writing a new book that I will send to the old buyers so I invite you to contact me at info@tradingwyckoff.com so that I can include you in the new list and you can receive the updates for free.

To give you an idea of the content to come, here I show you a draft of what will be (more or less) the index:

Advanced concepts of the Wyckoff methodology

- The labels
- Price vs. Volume
- Accumulation or distribution failure
- How to analyze a graph from 0
 - Structures. From minor to major
 - Context. From major to minor
- Other types of structures
 - Structures with a slope
 - Structures of extreme weakness
 - Hypodermic structures (V-turns)

Today's trading ecosystem

- Electronic markets
- Over The Counter (OTC) Markets
- Dark Pools

The most modern tools for volume analysis

- Order Flow
 - The Auction Market Theory
 - Order types and crossing
 - Tools
 - The Order Flow problem
- Volume Profile
 - Operational levels.
 - Zones of balance and imbalance.
 - VPOC control down/up

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